



Centralization of Power: Influence of Party Dominance on Economic Outcomes in Parliamentary Democracy

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A R Tahseen Jahan

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Abstract

This study explores the impact of centralization on economic outcomes. Some studies find centralization of power has a negative relationship with economic outcomes in parliamentary democracies. However, some of them argue that a positive relationship may also exist in different regions. Thus, the paper aims to reassess the relationship between centralization of power with the key factor of party dominance and economic outcomes. Following the concept of party dominance, the study quantifies the centralization with a power concentration degree through the ratio of governing party seats out of total number of seats in parliamentary democracy. Using this new variable of centralization, I extend the theoretical framework to assess the impact of centralization on gross capital formation and inequality as the proxy variable of investment and well-being indicators. The empirical study uses a panel dataset made from World Development Indicators (WDI) and Election Commission websites of 31 democratic countries from a time frame of 1960 to 2022. The study finds that centralization of power varies across countries in different time periods. However, higher degrees of centralization is negatively related to investment indicators or gross capital formation. Furthermore, as the degree of centralization increases, inequality also increases, with a negative consequence towards the well-being indicators. Thus, the study discusses higher centralization through party dominance is more likely to lower the economic potential in parliamentary democracies.

Keywords: Political centralization, power concentration, party seats, parliamentary democracy, investment, inequality, economic outcomes.

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Chapter 1: Introduction

In the field of political economy, one of the crucial riddles to consider is, “Does the power structure of the ruling party affect the economy?” Earlier studies have argued that efficient state building necessitates the consolidation of power in modern states. Centralization entails the concentration of authority within a central government, enabling it to effectively execute laws and uniformly implement policies throughout the whole state. It facilitates consistent and cohesive economic policies, incorporating them into the national structure (Weber, 1978; Locke, 1980; Durkheim, 1997; Hobbes, 1996). However, there are several recent studies that portray the negative effects of centralization by the central government. Centralized power structures that consolidate control tend to enact policies that benefit privileged groups, leading to economic inefficiencies and disparities in wealth distribution (Acemoglu and Robinson, 2012; Piketty, 2014; Fukuyama, 2014). The probable reason behind this contrasting result is maybe that the majority of the studies examining this relationship focus on a limited number of countries with theoretical ground of a specific time period. Hence, to shed light on the ongoing debate, this study intends to examine the relationship between centralization of power through the dominant ruling party and its economic outcomes in parliamentary democracy using the large panel dataset containing 31 countries from the time frame of 1960 to 2022. When it comes to defining the centralization of power, the conceptualization can be done through party dominance as it is one of the key factors to consolidate power in parliamentary democracies for the last few decades. When it comes to the relationship between degree of centralization and economic performances, several country-level and historical factors are also found to be responsible for the variation in economic variables across countries over time. In this regard, while the majority of the studies have focused on V-dem scores, polity IV, governance indexes etc, for measuring the degree of political centralization, this study measures centralization of power in parliamentary democracies through the ratio of governing party seats out of total number of seats, introducing a completely new variable. Taking party dominance of ruling authority, a component of centralization structure, into account, the second goal of the study is to see whether it influences the investment and economic potential of the countries over time. However, the investment variables cannot determine the ultimate wealth distribution and opportunities in a society. Therefore, the study also takes into account the well-being of the society, if the dominant party structure exists for centralizing power.

Studies have contributed to centralization of power in parliamentary democracies by analyzing different dimensions of centralization, such as electoral systems with majoritarian and consensus forms, political parties fragmentation with two-party and multi-party system (Lijphart, 1999), political settlement analysis (Khan, 2010) etc,. However, in a parliamentary democracy, all powers in the republic belong to the people; hence, the government is formed by the political party or coalition with the most winning seats in the election. When the government is formed by the party (or coalition) with the most seats in parliament, it limits individual dissent and debate within the party dynamics, further consolidating power in the hands of party leadership with strong party discipline. The “winner takes it all” approach

shows a party with a small share of the national vote may end up with a majority of seats in parliament, as a result, giving them an excessive amount of power (Blais, 2000). Power is concentrated by that political party who gets the authority to be the ruling government. The ruling party can dominate the national parliament to enact any economic and social policies due to the higher number of members in the parliament (MPs) from that very party. Hence, concentration of power in the parliament can be defined through the number of the seats acquired by the governing parties out of all the seats. The degree of concentration of power shows the outcomes of centralization in a country. Specifically, a high concentration ratio means high centralization in that country. So, party dominance is one of the key factors to determine the centralization of power in a parliamentary democratic country over time. For example, in the 12th National Parliamentary Election of Bangladesh which has a parliamentary democracy, the political party who formed the government had to get at least 151 seats out of 300 directly elected seats in the Jatiya Sangsad (National Parliament) for a majority. Bangladesh Awami League won 224 seats out of 300 seats, capturing the legislative decision-making processes. The ratio in Bangladesh is $224/300$ that shows the centralization of power is around 74% in the parliament by the winning party and the central body of Awami League. The higher the ratio of this concentration of power by the ruling party, the higher the centralization based on the intensity in each election period.

The state where political and economic power is diffused to the disadvantaged ones can ensure economic justice driving inclusive growth and economic development. When power is concentrated on the central body, it results in poverty and inequality with informal institutional arrangements of rent-seeking (Pande, 2018). Concentration of power refers to political centralization where a small number of people or a central government has the decision-making authority. Political centralization leads to accountability crises, unacceptance towards local needs, as well as economic disadvantages (Myserson, 2020). However, the relationship between political centralization and economic outcomes has remained a ‘puzzle’ over time as it showed variations while considering different countries in different time periods. Reviewing the literature on political centralization, it can be seen that the dominant party centralizes the power to make wide-ranging economic reforms within a small period of time. To avoid the obstacle of the opposition in times of crisis, centralization helps to undertake synchronized decisions with coordination in order to bring economic stability. The stability helps to trust and make the atmosphere of the country predictable to the foreign and domestic investors. As a consequence, higher revenues from businesses and advanced infrastructures boost the industrialization of the country (Boin et al., 2020; Levitsky and Ziblatt, 2018; Lee, 2000). However, we see that the case is contrasting as when the dominant parties centralize power, they appoint their supporters within the important financial institutions of the state. It results in wealth accumulation by the group of people who are close to the ruling authority. The clientelist network grows over time within the country with a consequence of sluggish productivity and economic potential. Corruption, rent-seeking by party elites hinder economic accomplishments. Often, the economy faces hyperinflation, increased inequality and market distortions with collapsed loss-making businesses (Boin et al., 2020; Acemoglu and Robinson, 2019; Politkovskaya, 2015; Esen and

Gumuscu, 2016). For example, from the 1980s to the early 2000s, the Panhellenic Socialist Movement (PASOK) party dominated Greek politics, resulting in the centralization of political power. Greece faced a severe economic crisis with massive austerity measures, high unemployment, and social unrest. A sovereign debt crisis resulted from years of excessive borrowing and cumulative fiscal deficits. In 2009, Greece's public debt had significantly increased to 126.8% of its Gross Domestic Product (GDP). By 2013, Greece's unemployment rate had also soared to 27.5%, making it one of the highest rates among European Union countries (Eurostat, 2021; Voulgaris, 2008; Featherstone and Papadimitriou, 2008). Therefore, centralization by dominant parties still remains a debate in the field of parliamentary democracy.

Hence, while the primary goal of this study is to investigate the argument whether centralization of power leads to cynical economic performance of a given country over a longer time period. By taking the party dominance as a key factor of centralization, the paper conceptualizes the centralization of power with parliamentary seats in the parliamentary democracy. For the conceptualization of centralization, the ratio of governing party seats to the total number of seats is used. I measure the degree of concentration through this ratio of degree of centralization through party dominance. I also present a theoretical framework in this paper, which builds on a comprehensive approach of macro linkages between centralization and economic outcomes. In this paper, along with the data of parliamentary seats collected from Election Commission websites of major parliamentary democratic countries, the dataset of World Development Indicators (WDI) is merged. To take the broader view, I use data from 31 countries of Europe and Asia to see the variations in centralization through dominant ruling parties across countries. In order to have an in-depth analysis, I also take the time frame from 1960 to 2022 of these 31 countries. To handle the panel dataset, strategies such as the fixed effect model, two-stage least squares method (2SLS), etc. are used. To facilitate a greater understanding of the relationship between centralization and economic outcomes, particularly two chapters are presented. Each of the chapters includes descriptive and inferential aspects of the dataset to present the characteristics and validity. The former chapter shows the linkage between investment and centralization whereas the latter shows the linkage between well-being and centralization. The findings suggest that on average, with an increase in centralization with the dominant party, shows a negative association with the investment indicators. Additionally, with higher centralization, the inequality increases, dropping the well-being of a society. Furthermore, the findings and results confirm the claim that centralization reduces the economic performance of a country while only a few powerful elites enjoy its benefits through wealth accumulation.

The structure of the paper is as follows-

The introduction describes the background, objectives, and rationale of the study along with the main research questions. The second chapter provides a review of the existing literature on the topic. The third chapter explains the conceptual and theoretical framework. The fourth chapter goes into further detail on the data and the methodology. Then in chapter five,

distribution and trend analysis is presented. The sixth chapter is about the findings and regression results of the degree of centralization and investment indicators. Followingly, in the seventh chapter, the findings and regression results of well-being indicators with degree of centralization is given. Finally, the paper concludes in chapter eight.

1.1. Objectives

The study examines the long-standing argument portrayed by many researchers that centralization of power influences economic consequences. Followingly, based on the discussion of centralization of power through party dominance, the study quantifies the centralization with party seats in parliamentary democracies. After quantifying the variable, the study also explores the effects of centralization on the economic health of a country or a business towards future growth and productivity. The influence of centralization on socio-economic dynamics within a country is measured as well for better understanding of the broad scenario.

1.2. Research Questions

Most of the literature suggests that the concentration of power negatively affects economic outcomes. However, the new approach of centralization through party dominance in different parliamentary democracies by the ratio of governing party seats out of the total seats varies in different countries from 1960-2022, and their impact on economic outcomes seem to be missing in existing literature. Therefore, the study aims to assess the relationship between these two variables at macro level and find an answer to the following questions: **(a)** Did centralization of power influence the investment indicators such as gross capital formation in different countries over time?

At the same time, if the centralization of power affected the investment and growth, then how it affected the well-being indicators over time are necessary in the analysis. Gross capital formation is a broad measure of economic performance, but it does not capture distribution of resources and wealth. So, measuring the impact of centralization through party dominance on how evenly or unevenly resources and opportunities are given to different groups is crucial. **(b)** Did centralization of power influence the well-being indicators such as inequality in different countries over time? In this regard, as Rohini Pandey (2022) mentioned, even though the investment and growth increased in some countries, the inequality also grew due to limited diffusion of power. Hence, focusing on the evidential gap in the literature, the study aims to investigate this very issue.

1.3 Rationale and Contribution

The study provides a contribution to contemporary literature in multiple ways. **Firstly**, it quantifies the centralization of power through party dominance with the ratio of parliamentary seats. Although centralization of power has been extensively studied with different factors, there have been no other studies where it is quantified with the ratio of party seats. A few studies included Polity IV, V-dem Index, World Governance Indicators (WGI), etc., measurements to understand the centralization scenario. Including centralization through party dominance with a new conceptual analysis of degree of concentration is a new addition to this study.

The **second** contribution of the study is that it examines the influence of the centralization of power in investment indicators to understand its relationship with economic performances of different countries over different time periods. In addition, to understand the role of centralization through dominant parties, the study also focuses on well-being indicators to critically analyze the societal arrangements of wealth in different countries over different time periods. Therefore, the paper attempts to address the existing gap in the political centralization arena which influences the macro economic phenomena of a country.

Additionally, most of the studies regarding centralization do not include longitudinal studies; they are specific to case studies only considering a specific time and country. Hence, a comprehensive analysis with broader range is not found while discussing the influence of dominant parties' on economic indicators in parliamentary democracies.

Chapter 2: Literature Review

Centralization of power is the process or situation in which decision-making authority is concentrated in a single person or location within an organization or system. The centralization of power is defined and addressed differently throughout different disciplines; they all refer to the centralization of power and control in one organization or place. Centralization of power is a multifaceted process with different dimensions in it. In the early years, the “Iron Law of Oligarchy” posited that when a political party attains power, it will inherently progress towards a centralized and oligarchic form. The party leaders will strengthen their authority by exerting control over crucial posts, stifling opposition, and manipulating internal party procedures to uphold their supremacy. The rationale behind this centralization is frequently based on the necessity to uphold order and optimize efficiency, although it ultimately results in the consolidation of power within a select few individuals (Michel, 1911). The idea of centralization is power concentration in societal structures and the concentration of power in the hands of a select few has an impact on social dynamics and resource distribution (Weber, 1922). In terms of economic theory of “The Nature of the Firm”, the topic of centralization within markets and economic institutions is covered through the discussion of how the concentration of decision-making power inside one or a small number of institutions, affects market dynamics and economic efficiency, is known as centralization of power in economics (Coase, 1937). Additionally in organizational behavior, centralization is the extent to which decision-making inside an organization is focused at one location, usually at the top of the organizational structure (Robbins & Judge, 2017).

However, the consolidation of political authority and decision-making power in a central government or central authority, sometimes comes at the price of regional or local autonomy, which is referred to as centralization of power in political science. The dynamics and internal party politics drive this degree of concentration. It suggests that the powers of subsidiary organizations are constrained and that the central government has considerable control over a number of facets of administration and governance. The process of concentrating political authority in the hands of the national government while diminishing the autonomy and powers of sub-national bodies is known as centralization of power (O'Neill, 2015). Historically, governments have consolidated power through centralization by the state gaining more authority and reducing the influence of regional or local authorities (Tilly, 1992).

To have a comprehensive understanding of the consequences of centralization, the literature review section is divided into three sections. In the first section, the factors of determining centralization of power are discussed. Reviewing the literature, centralization can be defined by electoral systems, party dominance, party systems, political settlement, etc,. The further section includes the causation between centralization and economic outcomes. To derive the economic consequences of political centralization, the study explains with in-depth analysis including poverty, growth, productivity and all other economic and social results with

examples. The last section discusses the gaps in the literature along with a visual summary of this whole chapter.

2.1. Factors of Centralization of Power

Centralization of power involves the consolidation of decision-making power and control within a particular group, people, or body, usually at higher levels of an organization or government. The particular entity that dominates the power structure can centralize power through several mechanisms. Such as- organizational structure, leadership style, political culture, external environment, political dynamics etc., influence the centralization of power. In the modern states, the factors that mainly help to grasp power and impact governance, creating several variations are-

I) Party Dominance

II) Parliamentary Democracy

III) Electoral Systems

IV) Party Systems

V) Political Settlement

2.1.1. Party Dominance

The centralization of power often occurs when the dominant parties consolidate power, affecting the democratic institutions. The centralization of power through party dominance has significant implications for effective governance and economic development. Centralization is frequently defended by dominant parties as a strategy for achieving economic stability and development. Nevertheless, recent research has demonstrated that economy-wide centralization can have a muddled impact, frequently resulting in increased inequality, corruption, and inefficiencies.

Centralization of power is frequently achieved by dominant parties through their acquisition of control over critical economic institutions. Loyalists are appointed to positions of authority within state-owned enterprises, financial regulatory bodies, and central banks by the governing parties. This control enables the party to allocate economic policies and resources in a manner that bolsters its dominance and marginalizes opposition (Acemoglu and Robinson, 2019). Resources are frequently allocated to loyal supporters in order to achieve economic centralization through patronage systems. Dominant parties utilize state resources to incentivize political allies and guarantee their ongoing support. The inefficient allocation of resources can result from this clientelism as economic decisions are made based on political fealty rather than economic merit (Stokes et al., 2013). Subsidies, tax exemptions, and preferential treatment for enterprises affiliated with the ruling party are examples of economic policies that may be implemented by ruling parties to benefit their constituents. The overall economic efficacy can be undermined by these policies, which can distort markets and create unjust competition (Levitsky and Ziblatt, 2018).

The consequences of centralization of power affect the economy negatively. As corruption and rent-seeking behavior increases, economic decisions are concentrated in the hands of a small number of party loyalists of the ruling party. Officials take advantage of their positions to conduct corrupt acts, steal public cash, and collect rent; these actions can hinder the expansion and growth of the economy (Acemoglu and Robinson, 2019). The dominant party system of Russia under Vladimir Putin's economic centralization resulted in the emergence of widespread corruption and inefficiency. Russia's economic potential has been undermined due to the concentration of economic power inside the ruling party, which has led to rampant rent-seeking, market distortions, and heightened inequality (Politkovskaya, 2015).

When economic decisions are influenced by political factors set by the dominant party instead of market indicators, it can lead to less than optimal investment, decreased productivity, and slower economic growth. The system of economic favoritism is created to share the benefit among the dominant parties supporters. Hence, the rest of the population faces stagnating or declining economic opportunities (Diamond, 2015). The Justice and Development Party (AKP) of Turkey consolidated economic authority by exerting control over financial institutions and utilizing patronage networks. Although these tactics originally contributed to economic progress, they eventually resulted in economic instability, heightened corruption, and substantial market distortions (Esen and Gumuscu, 2016). Similarly, Venezuela under Hugo Chávez's regime faced hyperinflation and dramatic decline in living standards and citizens' well-being due to populist economic policies favoring the dominant ones (Corrales and Penfold, 2011). Centralized authority may provide short-term economic stability, but it undermines sustainable development. Innovation, entrepreneurship, and competitive markets are crucial for sustained economic expansion, and these are usually impeded under centralized economic systems controlled by a single party (Boin et al., 2020).

However, there are instances in which the centralization of power through party dominance can result in positive economic outcomes, despite the negative connotations. Recent literature investigates the potential of a strong, centralized authority to foster long-term economic growth, facilitate decisive policy-making, and provide economic stability. Centralized power enables efficient and resolute policy-making as a powerful political tool with centralized authority may efficiently enact wide-ranging economic reforms, bypassing the obstacles posed by political deadlock. This ability to make decisions quickly and effectively is especially advantageous in times of economic crises, as prompt response and synchronized efforts are vital for restoring stability to the economy (Boin et al., 2020).

A centralized government can also prioritize long-term economic objectives without the rapid policy changes that sometimes happen in more diversified political systems. The stability of the environment is appealing to both domestic and foreign investors since it provides a predictable and consistent atmosphere that businesses and investors demand (Acemoglu and Robinson, 2019). China sets a prominent example of the dominant party's centralization power. The Chinese Communist Party (CCP) has utilized its centralized power to enact extensive economic reforms, advance infrastructure, and foster industrialization. The Chinese

Communist Party's capacity to exert control over several facets of the economy has resulted in consistent high growth rates and elevated the living standards of millions, thereby eradicating poverty (Kroeber, 2016). Correspondingly, Singapore's People's Action Party (PAP) exerted firm governance on the government in order to enact efficient economic policies. The PAP's political supremacy facilitated the construction of a secure and predictable economic climate, substantial allocations towards education and infrastructure, and the positioning of Singapore as a prominent global financial center (Lee, 2000). Centralized authority enables more effective coordination of economic strategies across many sectors. When a single party has power across several levels of government, it can guarantee the synchronization and efficient execution of programs. Effective coordination is crucial for the implementation of broad economic policies, including infrastructural development, industrial policy, and technological innovation (Levitsky and Ziblatt, 2018).

But to get positive outcomes in a centralized system dominated by a single party requires a few conditions. Robust institutions, such as an independent court, transparent financial systems, and efficient bureaucracy, can strengthen the good effects of centralized power by guaranteeing the effective and equitable implementation of economic policy (Rodrik, 2007). Nations that allocate resources to education, healthcare, and infrastructure have a solid basis for achieving long-term economic development despite their centralization strategies. Centralized governments have the ability to efficiently gather resources and allocate investments to these important regions. Reducing bureaucratic inefficiencies by improving public services has the ability to boost the economy of a centralized country with a dominant party structure. Emphasis on good governance and transparency, leveraging centralized power can result in an economic boom (Banerjee and Duflo, 2019).

2.1.2. Parliamentary Democracy

In parliamentary democracies, centralization is the idea of concentrating decision-making authority and power within the national government, usually in the hands of the executive branch, which is normally descended from the legislative body. The autonomy of different governmental entities, the harmony between local and national governance, and the general health of the democracy can all be impacted by this centralization. The dynamics of centralization are especially complex under parliamentary systems since the legislature and the electorate are the executive's ultimate sources of accountability. Particularly concentrating on the fusion of the executive and legislative branches, the British parliamentary system is a major example of parliamentary democracy. A distinctive feature of the UK system that sets it apart from the more distinct divisions of power observed in presidential systems is this integration, where the prime minister and the cabinet are integral members of the legislature. Given the executive branch's embeddedness in and control over the legislative process, this structural integration results in a large centralization of power within the branch. Hence, the union brought to a double-edged centralization. On the one hand, it simplifies governance, facilitating quick policy execution and legislative action that supports the executive's objectives. When making decisions quickly is critical, such as during a crisis, this efficiency

can be especially helpful. However, the legislative branch's ability to serve as a check on executive power may be diminished by centralization, thereby turning it into a body that only affirms the decisions made by the administration. The need for strong systems of accountability and monitoring raises basic questions about the wellbeing and vitality of democracy (Bagehot, 1867).

The executive, supported by a parliamentary majority, dominates government and policy, stifling meaningful criticism or investigation. In this scenario, the executive's centralized power eclipses the checks and balances that are essential to democratic governance. For instance, during the tenures of Prime Ministers Tony Blair and Margaret Thatcher, both leaders had considerable parliamentary majorities at their disposal, which allowed them to pass important policy agendas rather quickly. A strong parliamentary majority can enable a centralized executive power, influencing the larger governance landscape. This was demonstrated by Thatcher's administration, which focused on neoliberal reforms and the centralization of authority, and Blair's government, which was notable for its constitutional reforms and assertive foreign policy (Crewe, 1977). The tendency for parliamentary systems to centralize power to the point that it violates democratic principles is shown by these examples, especially when one party has a sizable majority in various parliamentary systems. The primary focus lies on striking a balance between efficient administration and the upholding of democratic values such as responsibility, openness, and diversity.

The basic conflict between efficiency and democracy persists, even though the degree of centralization may differ depending on elements such as party discipline, election systems, and institutional checks. The parliamentary democracies' centralization of power, although it increases the effectiveness of governance, severely undermines democratic ideals. The significance of preserving a careful equilibrium between the demands of democratic scrutiny and accountability and a strong, functional administration is a must in parliamentary democratic countries. It is difficult to strike a balance between the principles of democratic government and the centralization of authority. The knowledge that these academics have to provide is invaluable for negotiating the complexities of parliamentary democracy and making sure that efficiency does not compromise democratic integrity.

2.1.3. Electoral Systems in Parliamentary Democracy

Concentration of power as the essential component of political systems is vital to the operation and results of parliamentary democracies. However, the concept of power concentration through centralization varies in terms of different electoral systems. Especially, in the two most popular electoral systems such as majoritarian and consensus forms of democracy. Concentration of power affects representation, decision-making, and the distribution of power among the several parts of government with two different electoral systems (Lijphart, 1999).

If the electoral system is based on democratic majoritarianism, concentration of power lies in the hands of the majority. The candidate who receives the most votes wins in majoritarian electoral systems, such as the majority or single-member district plurality systems, leaving all other voters underrepresented or unrepresented. The majoritarian worldview, in which choices are taken by the majority without strong opposition, is reflected in this winner-takes-all strategy (Lijphart, 1999). One of the majoritarian systems is the first-past-the-post system like Bangladesh's national parliamentary election for electing the members of the parliament to form the government. Majoritarian democracies can benefit from or suffer from the concentration of power. Positively, majoritarian regimes frequently facilitate speedy decision-making and the adoption of majority-approved policies. But this concentration of power might also reduce minority groups' representation and influence, which could result in a lack of inclusion and the marginalization of particular voices. The United States and the United Kingdom are two instances of majoritarian democracies. The UK has an electoral system where the party controlling the majority of seats in the House of Commons is able to enact laws without the need for a coalition. Executive domination is a feature of majoritarian systems like the US, in which the president leads the executive branch, which has considerable power over the legislative branch. Although quick decision-making is made possible by this concentration of authority, the checks and balances between the several parts of government may be compromised.

On the contrary, a Consensus democracy strongly emphasizes widespread participation and power-sharing; they incorporate power-sharing mechanisms to encourage diversity and thwart the rise of a single party or alliance. Consensus electoral systems like proportional representation (PR), are designed to make sure that the number of legislative branch seats are distributed in a way that accurately represents the share of votes that each political party received. It aims to reflect a wider range of diverse interests by including many parties in the decision-making processes. This strategy encourages compromise and negotiation, which produces more evenly distributed results (Lijphart, 1999). However, because the consensus approach necessitates lengthy meetings and agreements, it can occasionally lead to longer decision-making procedures. For instance, a famous example of a consensus democracy using proportional representation is Switzerland. Even in 1959's Swiss Federal Election, the Social Democratic Party and the Free Democratic Party both emerged as the largest parties in the national council, each winning 51 of the 196 seats. Consensus democracies, such as Germany, aim for a more harmonious relationship between the executive and legislative branches. Because the legislative and executive branches share authority, compromise and discussion are necessary for decision-making. By encouraging diversity and preventing the consolidation of power in one area, this strategy strengthens the checks and balances that exist within the democratic system.

2.1.4. Party Systems in Parliamentary Democracy

One of the most important features of democratic governance is the concentration of power within party systems. It influences the allocation of power among political parties and has an effect on the decision-making process. The purpose of this segment is to examine how power is concentrated within various democratic party systems. Additionally, quantitative analysis has been used to gauge the power concentration in various party systems. Fragmentation in the party system can be quantified using the concept of the effective number of political parties. The number of parties and their relative strength in terms of seats or votes to form government in the parliament, are taken into consideration in this measurement (Lijphart, 1999). Initially, the first factor that separates consensus democracy from majoritarian democracy is the distinction between large multi party coalitions and majority governments with a single party. The significance of this variable and its relationship in terms of understanding the dimension between the executive and party politics should be emphasized for understanding political centralization. Party programmes and policies as well as the issue dimensions, such as the diverse concerns that political parties and their candidates address in their platforms of party systems, are also key factors here. Often, the socioeconomic policy distinctions between leftist and rightist parties play a vital role too.

In terms of Two-Party systems, two major political parties have the majority of the power in the state. These parties are more likely to produce one-party majority governments since they frequently vie for majority power. Nations such as the United States and the United Kingdom have examples of two-party systems. Two-party supporters contend that their forms of government offer efficiency and stability. Decision-making procedures can be expedited and policies implemented more quickly when there is a clear majority. Two-party systems can also help with long-term planning and policy continuity. However, some contend that two-party systems may result in little political rivalry and restricted representation. Authoritarianism and the misuse of power are more likely in the absence of strong opposition parties. Two-party regimes may also restrict the variety of viewpoints and ideas within the political system and suppress dissent (Lijphart, 1999).

Contrarily, Multi-Party systems have a number of political parties vying for legislative seats and the opportunity to form coalition governments. Finland, the Netherlands, and Switzerland are a few examples of multi-party systems without a strong party. Multi-party systems encourage political responsibility, representation, and competition. When there are several parties fighting for control, it is more likely that different points of view will be heard during the decision-making process. This may result in more inclusive laws that take into account the needs of different social groups. Critiques include that multi-party systems can lead to instability and political fragmentation. Delays in decision-making and policy impasse can result from the requirement for coalition building and compromise between various parties.

Forming stable administrations may also be hampered by the existence of multiple parties, particularly if those parties have opposing philosophies and agendas.

To understand the centralization of power, it is equally important to signify Left-Right Spectrum influence in predicting differences in the macroeconomic performance of industrialized democracies. The primary factor influencing differences in macroeconomic performance is the governing political party's position on the left-right spectrum. Policy decisions and priorities are shaped by political ideologies and party platforms. Even while disparities between the left and right on socioeconomic issues have decreased since the 1960s, they still have a big influence on how policies are made (Tufte, 1942). The concept of the "effective number of political parties", which quantifies the degree to which party systems are fragmented, also depicted the association between the number of issue dimensions and the effective number of parliamentary parties in 36 democracies between 1945 and 1996. There is a statistically significant and robust association between the two variables, implying that a more fragmented party system is caused by a higher number of problem dimensions. Problem dimensions are the different problems that come up in a political environment and that political parties have to deal with, including social justice, healthcare, education, economic injustice, and environmental sustainability in addition to security. The socioeconomic policies supported and pursued by governments and parties with leftist and rightist leanings differ significantly. Prioritizing social welfare spending, income equality, unemployment reduction, and a larger public sector are common features of leftist governments. Rightist governments, on the other hand, place more of an emphasis on market-oriented policies and little government intrusion. Determining the dimensions of issues in party systems in this aspect has a crucial role. While a party may have high support from a certain group, that does not mean that group's interests are represented by the party; rather, the party programmes should be distinguished from the characteristics of the voters they represent. The relationship between party programmes and the objective and subjective interests of party followers have to be emphasized (Lijphart, 1999).

2.1.5. Political Settlement Analysis

A political settlement has been defined as 'an inherited balance of power' (Khan 1995); 'the balance or distribution of power between contending social groups and social classes, on which any state is based' (John & Putzel, 2009); 'a common understanding, usually between political elites, that their best interests or beliefs are served through acquiescence to a framework for administering political power' (DFID 2010); 'a combination of power and institutions that are mutually compatible and also sustainable in terms of economic and political viability' (Khan 2010).

A framework for examining the interactions between institutions, policies, political stability, and economic growth is provided by the idea of a political settlement, which is defined as the

allocation of power across organizations (Khan 1995; Khan and Jomo 2000; Khan 2010). Whether a society's political structures provide a distribution of political rents that appease influential organizations determines whether political stability exists. Income flows produced by economic or political policies are known as rents. The allocation of political rents to various networks and organizations should roughly correspond to the distribution of organizational power; this is a required (but not always sufficient) condition for the achievement of political stability. Sustaining economic growth and development depends on how rents are allocated and managed. The distribution of power between political and economic organizations, comprising the political settlement, significantly determines outcomes (Khan, 2018).

Developing countries are trapped in a low level of economic development as the distribution of power is centralized by the elites. Different schools of thought such as Keynesian, Neoclassical, and New Institutional Economics argued that the state is a coercive entity which is operated by the elites for their own interest (Titumir, 2023). The political settlement analysis focuses on the centralized power that leads to misallocation of resources through dysfunctional institutions. In addition, public funds are captured by the concentration of power of elites; this very distribution of wealth to a few handful of people, results in inequality, deprivation of basic rights and economic injustice (Khan, 2000). Political settlements analysis has been used to explain why certain peace processes lead to more inclusive patterns of politics and development than others, and why some governments survive while others collapse (Jones et al. 2010; Lindemann 2010; World Bank 2011). In terms of developing countries, if power configuration is centralized then the Limited Access Order (LAO) emerges as an institutional arrangement to capture the economic rent of the state by the elites. In LAO, elites negotiate in a personalized and discretionary way. A patron-client network is established to capture the wealth of the intermediate class by the power holders. Hence, it results in an unequal society with rents turning into unproductive sectors of the economy (Khan, 2010).

2.1.6. Accountability Crisis

Agency costs of political centralization depict there are challenges and expenses associated with political centralization and decentralization. When the concentration of power is limited to a few people or a central government, it is referred to as political centralization in decision-making. This very system created a narrow class of local leaders, aligned with central national authority in power. Political centralization may cause national parties to expand their political networks to include local leaders throughout the country. Because of moral hazard, political centralization might result in the ineffective failure of local public services. Attempts to stabilize and reconstruct unstable nations may be hampered by centralized state-building and sharing of rent among the powerful elites only (Myserson, 2020).

On the other hand, development success might be attributed to political decentralization and community empowerment. They demonstrate how locally-run autonomous governments may lower the threshold to participation in national politics. Establishing the conditions for success on a lesser scale may help them evolve into formidable contenders for more senior positions. The devolution of power also involves local leaders in the process of constructing a nation (Myserson, 2020).

The centralization of power results in an accountability crisis, resulting in negative growth. If the locals lack the authority to fire the officials, their careers would be more reliant on maintaining political connections than on efficiently running the public services in the community. If we suppose that every person in a rural town invests to launch a business, the likelihood of the venture succeeding would depend on the amount of money the municipality spends on public services. The number of successes among the citizens' firms is the sole tangible proof that the official used the funds for public services. However, it will create distrust among the voters who would replace the incumbent due to the possibility of the investment funds to be stolen in the future (Myserson, 2020).

2.2. Centralization of Power and Economic Performance

In parliamentary democracies, political centralization describes the degree of power concentration within the executive branch, which is frequently headed by the prime minister and cabinet. The ability to execute economic reforms, the flexibility of governance, and the processes used to make policy can all be impacted by this concentration. Conversely, economic performance or outcomes include a range of measures, including inflation, unemployment, GDP growth, and fiscal stability.

This section is divided into two parts. In the first part, the generic relationship between centralization and its impact on economic outcomes is given. The economic outcomes in some literature support positive outcomes with centralization whereas some literature suggest negative effects. Followingly, the later section includes the influence of centralization on different socio-economic indicators. Poverty and inequality are the key variables to understand well-being while economic growth represents the future potential of the society. This section reviews the literature to analyze the linkage between centralization and economic consequences.

2.2.1. Positive Economic Outcomes

Some academics contend that more centralized politics can result in economic policies that are more logical and consistent. Under increasingly decentralized systems, consensus-building delays make it difficult for centralized governments to act quickly in the

face of economic crises and to enact the essential reforms. Centralization can be especially helpful for quick decision-making and execution during economic downturns. For instance, during the Asian financial crisis, nations with centralized decision-making systems saw faster economic recovery. However, there is also the possibility that institutional elements other than centralization affect the benefits of centralization (Rodrik, 1999). The Theory of Efficiency as a well-known theoretical viewpoint states that political centralization can improve the effectiveness of government. A centralized authority can expedite decision-making procedures, saving time and money on inter-agency cooperation and discussion. This efficiency might be critical for quick response and stabilization efforts during economic crises or when snap decisions about policy are required (Alesina & Tabellini, 2008). It is also believed that centralization promotes policy coherence by guaranteeing that governmental plans are carried out uniformly and without discrepancies between regions. Because it has overall authority, the central government may impose consistent policies across the country, reducing uncertainty and guaranteeing that economic initiatives are implemented consistently. When executing macroeconomic policies or reforms that call for national coordination, this homogeneity is very helpful.

2.2.2. Negative Economic Outcomes

Over-centralization can result in inefficiencies and unfavorable economic effects. Centralization may lead to lack of checks and balances, resulting in policies that are not carefully considered or discussed, which could have a negative impact on economic performance. In the idea of "veto players" in political systems, fewer people or organizations have the authority to approve or reject decisions. This may result in less careful consideration and analysis in addition to poorly thought-out policies (Tsebelis, 2002). There is a possibility of rent-seeking activities in centralized institutions, which can result in corruption and inefficiency, and have a negative impact on economic progress. Elevated degrees of political centralization may reduce government openness and accountability. Less checks and balances could allow the executive branch to prioritize the interests of a small number of people over the interests of the general public. This lack of accountability can create an atmosphere where corruption thrives and seriously harms economic performance (Persson and Tabellini, 2003). On the contrary, decentralized parliamentary democracies typically have lower levels of corruption, and lower levels of corruption are positively connected with higher economic performance. According to a cross-national analysis with a sample of up to 94 democracies, decentralization can improve transparency and accountability, which would result in better governance (Kunicova and Rose-Ackerman, 2005).

2.2.3. Poverty

Numerous studies argue that the centralization of power can exacerbate poverty in several ways. Centralized power and elite enrichment confine societies in vicious poverty cycles. The contrast between extractive and inclusive institutions, asserts that the former limit economic progress and prolong poverty due to their concentration of power and wealth. On the other hand, inclusive institutions or decentralization, promote economic development and decrease poverty by distributing power more widely (Acemoglu & Robinson, 2012). The case of the Philippines under Marcos (World Bank, 2016) exemplifies how cronyism and corruption under centralized rule can worsen poverty. Negative economic effects resulted from the regime's emphasis on enriching a small elite at the expense of widespread progress (Hutchcroft, 1998).

The potential positive consequences of centralization is its poverty alleviation programs but the top-down approaches overlook local participation and accountability. Disregarding local demands can compromise the efficacy of attempts to reduce poverty. The significance of local participation in centralized government programmes creates a well-balanced strategy that incorporates local accountability and input with centralized oversight (Bardhan, 2002). Evidence demonstrates that centralization of power can, under certain conditions, become instrumental in reducing poverty. China's targeted programs under centralized leadership lifted millions out of poverty (World Bank, 2018). China's centralized system has resulted in a notable decrease in poverty, which can be linked to specific reforms and programmes that promote rural development and social welfare (Park & Wang, 2010). However, the importance of decentralization of power as a process, not just a goal, for sustainable poverty reduction (Bardhan, 2002).

There are instances of inconsistent outcomes of centralized versus decentralized approaches, implying that the degree of local community empowerment and engagement is a key factor in the success of poverty alleviation initiatives. Centralization's effects on poverty are complex and situation-specific. While considerable resource mobilization for poverty reduction can be made possible by centralized authority, if inclusive, accountable processes are not in place to check it, centralized power can also result in extractive activities that worsen poverty (Mansuri and Rao, 2013). The type of institutions, the governance structure, and the degree of community involvement in the policy-making process all affect how effective centralization is. It becomes obvious that a one-size-fits-all strategy for centralization and poverty alleviation is unworkable by combining these many points of view. In order to create policies that might maximize the advantages of centralization while minimizing any potential drawbacks, policymakers must take into account the unique institutional and societal settings.

2.2.4. Inequality

Upsurging inequality under centralized power structures is the consequence of inherent dynamics within capitalist systems, accompanied by lax regulations and tax policies that further the interests of the rich. As the rate of return on capital usually outpaces the rate of economic expansion, capitalism inevitably results in a concentration of wealth. Inequality is made worse by this discrepancy, which leads to an increased concentration of wealth among the affluent. In capitalist countries, economic power and power concentration are frequently intertwined, resulting in a feedback loop whereby wealth concentration increases one's ability to influence political and economic decisions, which in turn makes policies that make further concentration of wealth possible (Piketty, 2014). This concentration of wealth and power results in the creation of policies that serve the interests of the wealthy, such as tax breaks for the wealthy and industry deregulation, frequently at the expense of the general public (Stiglitz, 2012). In the United States, both tax cuts for the wealthy and deregulation are contributing to widening income gaps (Center on Budget and Policy Priorities, 2023). Additionally, tax laws, particularly in the US, have changed to benefit the wealthiest and cause an even larger concentration of income at the top. Inequality is made worse by regressive tax regimes, in which the wealthy pay comparatively less in taxes than the impoverished (Saez and Zucman, 2016).

Furthermore, deregulation, a prevalent trait in countries with centralized capitalism, frequently results in a reduction in worker protection and an expansion of corporate freedom, which, in turn, leads to a suppression of wages and an increase in profits, hence exacerbating the inequality gap. Deregulated financial markets can result in severe economic inequities and societal instability such as during the 2008 financial crisis. As a result, the concentration of power in capitalist systems not only maintains current disparities but also threatens to erode social mobility and equal opportunity, undermining the foundation of democratic society (Rajan, 2010).

However, rising inequality can be countered by active government intervention through progressive taxation and social safety net programmes. A strong centralized government coupled with progressive taxation has enabled Scandinavian countries to attain relatively low inequality compared to other developed nations (OECD, 2023). As a fascinating counterpoint to the mainstream capitalist story, the Scandinavian nations—Sweden, Norway, Denmark, and Finland—show how centralized power may be used to advance social fairness. These countries are distinguished by their vast public services, progressive taxation, and welfare states that are all heavily centralized (Atkinson, 1991). Centralization in these nations does not mean that a small number of people control all the money and power. Rather, it represents the consolidation of power to make policies within a democratic system that gives social welfare and equity top priority. This central authority is used to carry out a wide range of social programmes that are funded by progressive taxation, such as free higher education and universal healthcare. Indirectly tackling inequality, such a strategy guarantees that wealth redistribution is a fundamental component of the economic paradigm.

A number of elements determine whether the Scandinavian model is successful. First, there is a high degree of trust in government institutions, which is essential for the public's acceptance of high taxes and substantial state interference. Second, the policies of these nations show a strong commitment to social cohesiveness and equality—values that are ingrained in the fabric of their societies. It's crucial to remember that there are criticisms of the Scandinavian approach. While some contend that high taxes can hinder economic innovation and efficiency, others draw attention to the difficulties in sustaining such vast welfare programmes in the face of demographic changes and globalization. The Scandinavian nations continuously score highly in terms of equality, happiness, and living standards despite these difficulties, indicating that their strategy of social justice and centralization has real advantages (Rothstein and Uslaner, 2005).

The experience of the Scandinavian countries offers important insights into how centralization can benefit society provided it is in line with democratic principles and a dedication to fairness. It provides a model for distributing money more fairly through the use of centralized power, ensuring that the advantages of economic expansion are shared by all members of society. Thoughtful policy decisions such as- progressive taxation, improvements to social security, and funding for public services etc are necessary (Atkinson, 1991). This also suggests that centralized policy tools can be instrumental in addressing inequality; however, their effectiveness depends on specific design and implementation.

2.2.5. Growth

Strong institutions, sometimes facilitated by centralized leadership, can accelerate economic growth through strategic investments and stable environments. Centralized governance can expedite and unify the formulation of policies. In situations where fragmented institutions may struggle to implement consistent and effective economic policies, this is especially advantageous. Centralization can provide the necessary directional stability for substantial economic reforms and strategic investments in such circumstances. The fundamental determinant of the effects of centralization is the caliber of governance. By prioritizing public welfare, effective centralization can direct efforts and resources towards critical sectors such as infrastructure, healthcare, and education, thereby establishing the groundwork for long-term economic expansion (Rodrik, 2014). The economic transformation of South Korea serves as an illustration of how centralized governance can effectively drive economic progress. In conjunction with a robust export-oriented strategy, the government's targeted investments in industrialization and technology accelerated the nation's transition to a dynamic economy. This instance demonstrates how the implementation of strategic centralization, in conjunction with well-defined economic goals and competent leadership, can generate significant returns on investment for development.

Despite the centralization of power in Uganda by President Yoweri Museveni, from 1984 to 2009, the country has witnessed a nearly fourfold increase in total GDP, driven by an annual growth rate of 6.5%. Uganda's situation has become more complex under Museveni in power. Although the initial consolidation of power during his regime promoted stability and macroeconomic reforms, resulting in substantial GDP expansion, this account also underscores the drawbacks of maintaining centralization over an extended period of time. Decades upon elapse, unchecked power consolidation may result in inefficiencies, cronyism, and the possible stifling of democratic institutions, which are indispensable for the establishment of sustainable, equitable development (Vasher, 2011). However, excessively centralized power can thwart innovation and misallocate resources, which in turn can hinder growth. Additionally, centralization can discourage investment, stifle economic freedom, and impede development if it results in autocracy or corruption (Acemoglu & Johnson, 2005).

2.3. Gaps in Literature

The preceding section provided a thorough overview of the existing literature on the various factors of centralization of power and the effects on economic outcomes. The main takeaway from this is researchers have defined centralization of power from different perspectives such as- party dynamics, electoral systems, historical contexts etc,. In this scenario, some researchers have argued that centralization of power affects the economy positively, but this has been less prevalent in empirical studies. However, some researchers have argued that centralization has negative economic outcomes. As a result, disputed results have been discovered when this research does not include a substantial number of countries' analyses.

On the other hand, the majority of studies primarily focused on economic growth and neglected other important macroeconomic variables such as investment and well-being. While several pieces of literature only focused on growth, others solely focused on well-being measures. However, a wide variety of analyses from both perspectives are not mentioned prominently.

It is clear from the above discussion that there is a gap in the literature regarding quantifying centralization of power through governing party seats in parliamentary democracy. No studies have tried to quantify political centralization with party dominance. Hence, the economic outcomes due to dominant parties' existence still remain vague in the literature. Additionally, when it comes to explaining the relationship between centralization and economy, most of the studies have focused on a limited number of countries. How the variations occur across different countries with parliamentary democracies remains a considerable gap in the literature.

Furthermore, existing empirical studies do not include the variations over different time periods and changes in pattern. How the variation occurs over different time periods and its

consequences seem to be missing. A comprehensive analysis including time and country variation were not found thoroughly in the literature. Therefore, this paper attempts to address the mentioned gaps.

Table 1 provides the summary of the literature section along with the gaps and clusters. The negative and positive outcomes along with different variables of centralization and their arguments are given through this visual representation.

Table 1. Summary of literature review section

Clusters of Centralization	Variables	Positive Causation	Negative Causation	Gaps in the literature
(Myserson, 2020; Acemoglu and Robinson, 2019; Boin et al., 2020; Esen and Gumuscu, 2016; Politkovskaya, 2015; Diamond, 2015; Corrales and Penfold, 2011)	Party Dominance	Dominant Parties centralize the system to foster long-term economic growth, facilitate decisive policy-making, and provide economic stability.	Collection of rents, placing party loyalists in the financial position; hence, productivity decreases and slower economic growth.	Scarcity of comparative studies and longitudinal analysis.
(Alesina and Tabellini, 2008; Persson and Tabellini, 2003; Rajan, 2010; Atkinson, 1991; Crewe, 1977 ; Bagehot, 1867)	Parliamentary Democracy	Executive branch facilitating quick policy execution during crisis and legislative action that supports the executive's objectives. Hence, economic stabilization occurs leading to growth.	Legislative branch's ability to check on executive power gets diminished so constitutional reforms and policies favor only a sizable group. Hence, long term investment gets affected with wealth accumulation by the powerful elites.	Specific case studies of Thatcher and Blair's regime were taken into account with short-term economic consequences.

(Lijphart, 1999; Kunicova and Rose-Ackerman, 2005; Acemoglu and Robinson, 2012; Uslaner, 2005)	Electoral Systems	Consensus democracy diverse interests in decision making. Hence, economic loss occurs in policy formulation but long term investments are found with wealth sharing based on trusting the authority.	In the majoritarian system winners take all strategy works, benefitting the majority group with wealth and investment but the minority groups face discrimination in terms of opportunities.	Specific case studies of first past the post and proportional representation system.
(Lijphart, 1999; Saez and Zucman, 2016; Tufte, 1942; Rodrik, 1999)	Party Systems	Multi party systems make inclusive economic policies for development to survive in the competition with quick execution of economic recovery.	Two party systems restrict the variety of viewpoints which results in economic stagnation with low innovation and productivity.	Quantitative analysis regarding party fragmentation is missing. Global comparison with longitudinal studies on policy continuity were not given.
(Khan 1995; Khan and Jomo 2000; Khan, 2010; Titumir, 2023; Jones et al., 2010; Lindemann, 2010)	Political Settlement	Political networks maintain political stability to sustain their power through sustainable economic development and growth.	Political networks distribute rents among elites, resulting in inequality, deprivation of basic rights and economic injustice.	No specific mechanisms through which political settlements influence economic outcomes. Comparative studies are not analyzed as it has only focused on developing countries.

Chapter 3: Conceptual Framework and Theoretical Framework

As discussed in the previous section, the objective of this paper is to understand the centralization of power through party dominance and its impact on economic indicators. Thus, in the first segment we analyze the conceptual framework of centralization of power with party dominance that has been used to understand the degree of power concentration in parliamentary democracy. In understanding the macro linkages towards centralization, a comprehensive approach is used to study the relationship of centralization of power with economic variables. In this paper, I follow this comprehensive approach to study how the centralization through the dominant ruling party affects the investment and well-being. In order to explain the theoretical model, this section will first underline the key conceptual framework of centralization. Then, I will focus on how this variable of centralization fits in the model to explain the macro linkages regarding investment and well-being.

3.1. Conceptual Framework

In the previous section of literature review, it is evident that centralization of power has many factors. The different party systems, electoral systems, historical context lead to both centralization and consolidation of power. In this paper, I have come up with my conceptual framework of centralization of power through party dominance.

3.1.1. Centralization of Power through Party Dominance

The concentration of power through the dominance of a ruling political party has significant consequences for the management and progress of the economy. Major political parties contend that solid centralized authority is vital for upholding order and executing efficient programmes. This reasoning is commonly employed to defend the centralization of authority by the dominant ruling parties (Levitsky & Ziblatt, 2018). The dominant ruling party centralizes power through different mechanisms, such as- placing loyalists in the judiciary, legislative bodies, and executive branches, designing electoral systems in their own way to continue ruling and distributing resources, jobs, and benefits to their supporters to maintain patronage systems.

$$Cen = \frac{\text{Governing Party Seats}}{\text{Total Seats}}$$

Hence, concentration of power in the parliament is conceptualized through the number of the seats acquired by the governing parties out of all the seats in the parliamentary democracy.

The higher the ratio of this concentration of power by the ruling party, the higher the centralisation based on the intensity in each election period. The degree of concentration of power shows the outcome of centralization in a country. Specifically, a high concentration ratio means high centralization in that country. Figure 1 shows a visual representation of crucial metrics for centralization of power with governing party seats and total seats in the parliament.

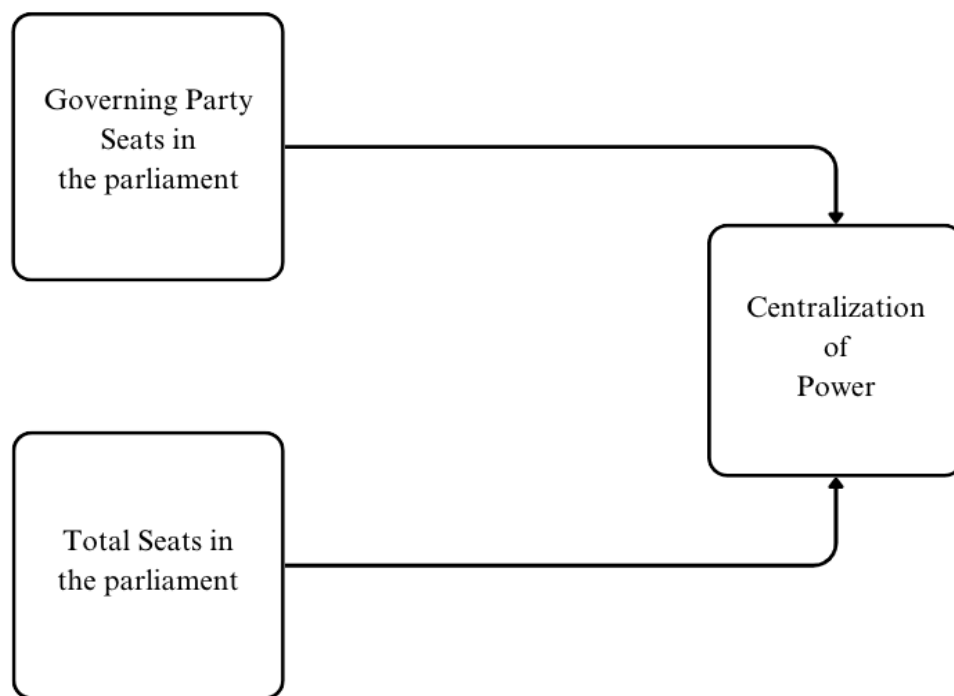


Figure 1. Conceptual model

The centralization of power through the dominant ruling party, resulting in two different economic consequences. At one end of the spectrum, it results cynically as they control the key economic institutions such as banks, state-owned enterprises by allowing clientelism to reward party allies and enacting policies to give preferential treatment to business elites. The consequences are increased inequality, market inefficiencies and rent-seeking behavior (Levitsky and Way, 2010; Acemoglu and Robinson, 2019).

On another spectrum, party dominance and centralization of power allow quick and decisive policy-making while making economic reforms. The rapid response and coordinated action occur in more pluralistic political systems that ensure long-term economic stability and infrastructural development (Banerjee & Duflo, 2019).

3.2. Theoretical Framework

Power structure can play a crucial role in formation of capital and well-being of individuals in the society. The centralization of power can either help to bring growth in the economy positively or affect it negatively with a stunted economic system. The centralization of power creates a dominant ruling party in the parliament. One of the key factors to determine the centralization of power is the ratio of governing party seats to the total number of seats in parliamentary democracy. In the conceptual framework section, I have already mentioned the key concept of centralization of power through party dominance to construct the theoretical framework of the paper. Figure 2 presents the theoretical model using a comprehensive approach.

The economic outcomes of a parliamentary democracy are substantially influenced by its political structure. Political centralization and pluralism are two extremes of the political organization spectrum, each with its own unique implications for economic performance. When a single party possesses the majority of legislative seats and executive power in a parliamentary democracy, it can implement economic policies with minimal opposition. These economic policies can bring positive outcomes for the citizens of the country or may only favor the supporters of that ruling party. As a result, the paper analyzes the effect of centralization through party dominance on the economies of the countries with parliamentary democracy.

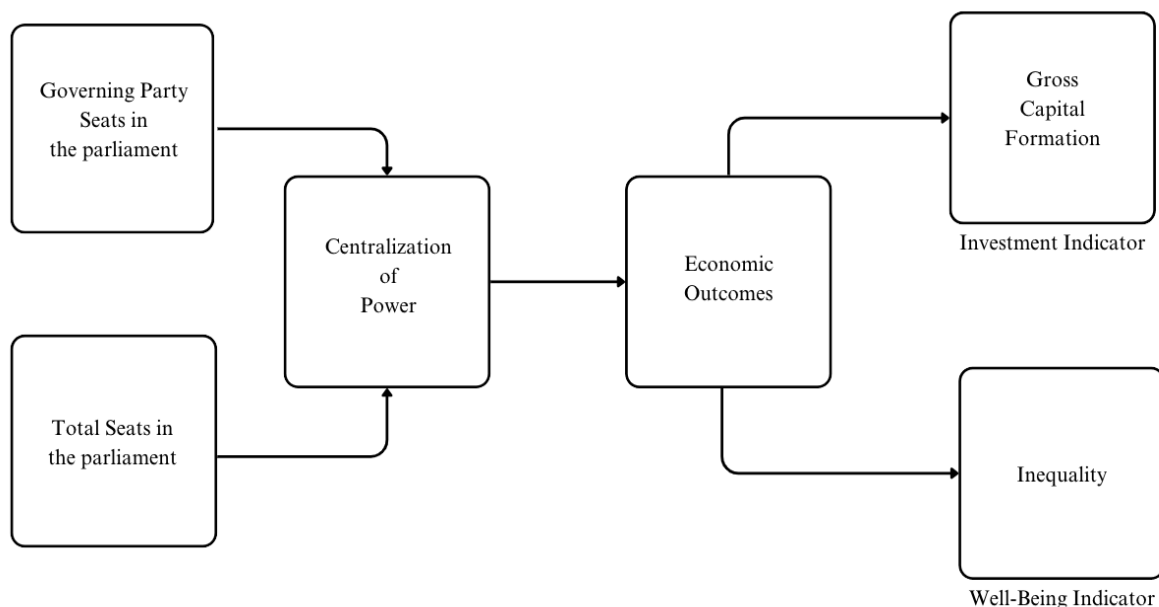


Figure 2. Theoretical model

Figure 3 presents the visual representation of the relationship between centralization and economic outcomes. In accordance with the first objective of the study, it observes if centralization has an influence on the investment indicators. Hence, the gross capital formation variable is mentioned. Gross capital formation is the proxy variable for understanding investment outcomes of a country. The impact of centralization on the entire value of a nation's new investments made over a certain time period in tangible assets such as machinery, equipment, and infrastructure can be measured through this linkage. Understanding the potential for economic growth, development, and productivity gains requires an understanding of the amount of investment in an economy, which is reflected in this indicator. The crucial insights into the macro aspects of economic performance and potential are found by investment indicators. Centralization of power led to collapse in investment with significant capital flight and economic deterioration due to hostile investment climate caused by high levels of corruption, the confiscation of private property, and arbitrary policy changes. The case study conducted for Venezuela and Zimbabwe are the most notable examples (Buxton, J., 2019 ; Moyo, S., 2011). That is why this paper's argument is that centralization through dominant parties affects the investment outcomes cynically.

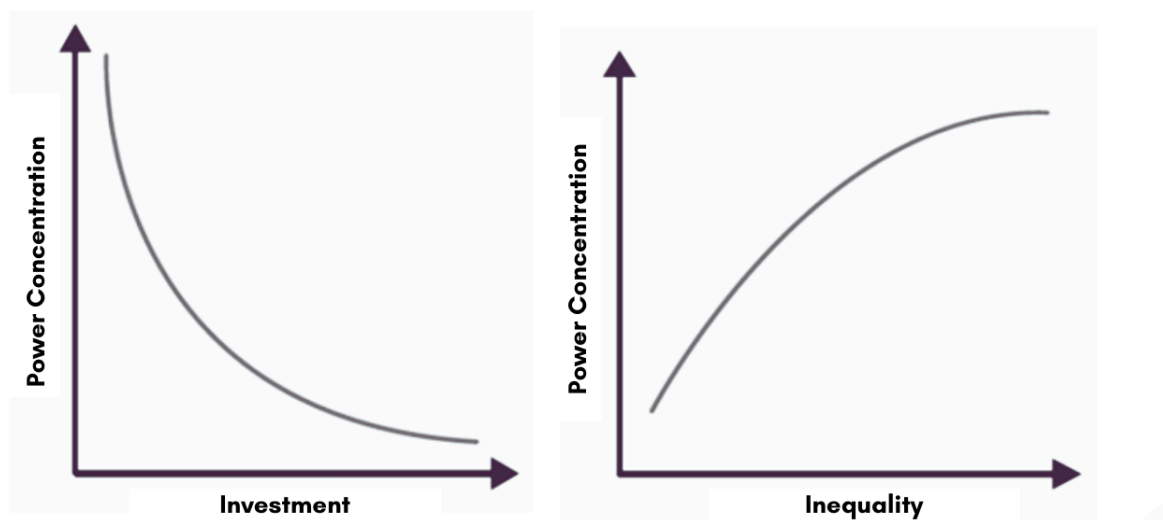


Figure 3. Relationship between power concentration and economic indicators

At the same time, with our second objective of the study, it observes if centralization has an influence on the well-being indicators. Hence, inequality as a variable is mentioned. Inequality is one of the key variables that determines well-being outcomes of a country. The connection between centralization of power and inequality is crucial as it captures the distribution of wealth and resources within a society. The degree to which opportunities and resources are allocated to various groups is essential for evaluating social and economic well-being, along with the centralization variable. The higher concentration of power leads to the development of policies that benefit the affluent, such as tax breaks and industry

deregulation; these policies come often at the expense of the general public. Malaysia under United Malays National Organisation (UMNO) is one of the case studies provided by Gomez and Saravanamuttu (2013) where inequality among Bumiputeras and non-Bumiputeras were created by the dominant party over six decades through a centralized system. Hence, this paper also offers arguments regarding centralization through dominant parties where the inequality increases in favor of the powerful ones, affecting the well-being of the overall population.

3.3. Development of Hypothesis

In light of the existing literature on centralization of power through dominant ruling party and its economic outcomes, the following hypothesis can be made:

Hypothesis 1 (H1): An increase in centralization of power has a negative effect on investment indicators such as gross capital formation.

Hypothesis 2 (H2): An increase in centralization of power has a positive effect on inequality which negatively affects well-being indicators.

Chapter 4: Methodology

In this chapter, I have mentioned the sources of the dataset where I have included 31 countries' data from 1960 to 2022. Then, I have given a brief description of the dependent and independent variables used for the findings and analysis of the paper. Furthermore, a detailed analysis of the process of econometric modeling and regression analysis is given to understand the estimation strategies used for following chapters of the paper.

4.1. Data

In this paper, I am attributing both time variables and country variables in my paper for analyzing long term economic effects of our quantified centralization variable. Hence, I have used the World Development Indicators (WDI) dataset, compiled by the World Bank (World Bank, 2022). This study uses data of 31 countries over the past 62 years covering the period from 1960 to 2022. The key independent variable is the degree of centralization quantified in the conceptual framework that is used to analyze the investment and well-being indicators.

Table 2 shows the list of the 31 countries I have taken for this study. Among the 31 countries, 29 of them are European countries and two of them are Asian countries. I have chosen the data of European countries as the modern concept of parliamentary democracy emerged in Europe and it is the core of all European constitutions based on the idea of "representation by citizens" (Cambridge University Press, 2016). In terms of Asian countries, I have taken data from India and Bangladesh as India claims to be the world's largest parliamentary democracy with a large population representative system. This unbalanced panel data set considers a time frame from 1960 to 2022 to capture the structural changes of investments and well-being with centralization in parliamentary democracy. To avoid the short term volatility of random shocks and cyclical fluctuations, a long term period data was necessary to improve statistical power of our econometric models. The combination of long term data with different parliamentary democracies leads to accurate estimates of parameters, reducing the risk of spurious correlation in our economic models.

The degree of centralization is a crucial variable in this analysis as it is quantified by the ratio of the number of seats held by the governing party to the total number of seats in the parliament. It depicts the concentration of political power in parliamentary democracy within a given country through quantifiable metric. The data of the variables in the ratio for constructing this quantification is sourced from the official Election Commissions' websites of the 31 European and Asian countries for each election period. To verify the extracted data, multiple sources of election reports are scrutinized.

The main data source for this study is the World Development Indicators (WDI) database, which is compiled by the World Bank. The World Development Indicators (WDI) is a

comprehensive and reliable compilation of development data, encompassing more than 1,400 indicators that cover several dimensions including economic, social, environmental, and demographic elements spanning over 200 countries. This extensive database is crucial for researchers and policymakers with yearly updates and historical data that enable trend analysis and comparative studies. The indicators encompass a diverse array of subjects, including GDP, literacy rates, carbon dioxide emissions, and population growth, guaranteeing a comprehensive range of pertinent and precise data. The data of the WDI is carefully gathered from internationally recognized sources, following established definitions and consistent processes to guarantee comparability between nations throughout time. This stringent quality control method ensures the dependability and precision of the data. The database is readily available to the public via the World Bank's website and several data portals, providing user-friendly tools for visualizing, analyzing, and exporting data in multiple formats. The WDI's qualities make it a crucial resource for academic research, policy analysis, and instructional purposes. It supports the evidence-based creation and evaluation of policies in several disciplines.

Table 2. List of Countries

Region	Country	Observations
Europe	Albania	32
	Austria	63
	Belgium	63
	Bulgaria	32
	Croatia	31
	Czech Republic	27
	Denmark	63
	Estonia	31
	Finland	63
	Germany	33
	Greece	63
	Hungary	33
	Iceland	63
	Ireland	63
	Italy	63
	Latvia	30
	Lithuania	31
	Luxembourg	63
	Malta	63
	Netherlands	63
	Norway	63
	Poland	32
	Serbia	15
	Slovakia	29

	Slovenia	31
	Spain	46
	Sweden	63
	United Kingdom	63
Asia	India	63
	Bangladesh	50
Total		1428

4.2. Dependent Variables

The dependent variables are the Log of Gross Capital Formation and Gini Index. The former one is taken to understand the impact on investment indicators because Gross Capital Formation acts as a proxy variable of investment indicators. The Gross Capital Formation was in current US dollars but logarithm form was taken to stabilize the variance of the data so that it meets the basic assumption of regression models such as homoscedasticity and normality of residuals. On the other hand, the Gini Index is one of the core variables of well-being indicators which measure wealth inequality within a nation. Table 3 shows the detailed description of the dependent variables.

Table 3. Description of Dependent Variables

Variable Names	Variable Description
Log of Gross Capital Formation	Log of Gross Capital Formation is measured by the logarithm of gross capital formation which was in current US dollars. It is also known as gross domestic investment.
Gini Index	The Gini coefficient measures the inequality of income distribution within a country where 0 represents perfect equality, while 100 implies perfect inequality in the index.

4.3. Independent Variables

In order to look into the impact of centralization with degree of party dominance, both the investment and well-being indicators are considered. The key independent variable degree of centralization is measured through a concentration degree. This concentration degree is the ratio of governing party seats and total number of seats in a parliamentary democracy. When measuring the Degree of Centralization, it becomes correlated with the explanatory variables

in the model $E(X_{it}, Z_{it}) \neq 0$; hence, to avoid endogeneity issues I have predicted the Degree of Centralization with one of the explanatory variables.

While taking explanatory variables for Log of Gross Capital Formation, I have taken Log of Gross National Expenditure and Log of Gross Savings which were also in current US dollars previously. To explain Gini Index, variables such as Income share held by highest 10%, Proportion of people living below 50 percent of median income (%) and Mortality rate, under-5 (per 1,000 live births) were taken to explain the well-being effects. Table 4 shows the detailed description of the independent variables.

Table 4. Description of Independent Variables

Variable Names	Variable Description
<i>Key Independent Variables</i>	
Degree of Centralization	The centralization is quantified with concentration degree; the ratio of governing party seats out of total number of seats in parliamentary democracy.
$Cen = \frac{\text{Governing Party Seats}}{\text{Total Seats}}$	
<i>Explanatory Variables</i>	
Log of Gross National Expenditure	Log of Gross National Expenditure is measured by the logarithm of gross national expenditure which was in current US dollars. It refers to the total amount spent on final goods and services by the inhabitants of a country.
Log of Gross Savings	Log of Gross Savings is measured by the logarithm of gross savings which was in current US dollars. It represents the proportion of gross national disposable income, saved without consuming.
Income share held by highest 10%	The percentage of total income received by the top 10% of the population which picturize the economic disparity.
Proportion of people living below 50 percent of median income (%)	The percentage of the population whose income is less than half of the median income to understand the poverty levels of a country.
Mortality rate, under-5 (per 1,000 live births)	The under-5 mortality rate is the probability per 1,000 that a newborn baby will die before reaching age five. It acts as an indicator of child health and overall development.

4.4. Estimation Strategy and Method

The paper is divided into two portions for model construction, at one portion, the study consists of impact of centralization on investment indicators and examines the results through regression analysis. The latter portion, consists of impact of centralization on well being indicators to analyze the regression results. The specified models were evaluated through the Ordinary Least Squares (OLS) and Two-stage least-squares (2SLS) method. The dataset for the study has panel data, which means it includes many observations over time for the same entities.

The panel data structure facilitates the inclusion of both cross-sectional and time-series dimensions, allowing us to consider differences between entities over time. So, a robust estimating method accounts for unmeasured differences among individuals and acquires more dependable estimations of the associations between variables. In order to represent the connections between the variable that is being influenced and the variables that explain it, we built the subsequent panel data regression model:

$$Y_{it} = \alpha + \beta_1 X_{1it} + \beta_2 X_{2it} + \dots + \beta_k X_{kit} + u_{it}$$

Here, Y_{it} is the dependent variable for entity i at time t , $X_{1it}, X_{2it}, \dots, X_{kit}$ are the explanatory variables, α is the intercept whereas $\beta_1, \beta_2, \dots, \beta_k$ are the coefficients of the explanatory variables and u_{it} is the error term.

4.4.1. Hausman Test

To figure out how to determine whether to use the Fixed Effects Model (FEM) or the Random Effects Model (REM), we performed the Hausman test. The Hausman test assesses the correlation between the unique mistakes (U_{it}) and the regressors ($X_{1it}, X_{2it}, \dots, X_{kit}$). The null hypothesis of the Hausman test posits that the random effects model is the preferred model, while the alternative hypothesis favors the fixed effects model. The test statistic is computed using the following formula:

$$H = (\hat{\beta}_{RE} - \hat{\beta}_{FE})' [Var(\hat{\beta}_{RE}) - Var(\hat{\beta}_{FE})]^{-1} (\hat{\beta}_{RE} - \hat{\beta}_{FE})$$

Here, $\hat{\beta}_{RE}$ and $\hat{\beta}_{FE}$ are the coefficient estimates from the random and fixed effects models, respectively and $Var(\hat{\beta}_{RE})$ and $Var(\hat{\beta}_{FE})$ are the variances of these estimates. The Hausman test results indicate that the null hypothesis should be rejected (p-value < 0.05), indicating that the fixed effects model is more suitable for our data.

4.4.2. Fixed Effect Model Estimation

Based on the outcomes of the Hausman test, we opted to utilize the Fixed Effects Model (FEM). The FEM addresses the issue of time-invariant properties by assigning a unique intercept to each item. The representation of this model can be described as:

$$Y_{it} = \alpha_i + \beta_1 X_{1it} + \beta_2 X_{2it} + \dots + \beta_k X_{kit} + u_{it}$$

The variable α_i represents the entity-specific effects. The fixed effects model is estimated using the least squares dummy variable (LSDV) technique or inside transformation, which involves subtracting the entity-specific means to normalize the variables.

The Fixed Effects Model is highly appropriate for our analysis as it provides a rigorous estimating technique that specifically tackles the various biases present in panel data analysis, hence guaranteeing the dependability and accuracy of our regression findings. The Fixed Effects Model (FEM) effectively adjusts for unobserved heterogeneity by assigning a unique intercept (α_i) to each item. This accounts for the influence of time-invariant traits that may introduce bias to the estimations if not considered. By excluding these effects that are particular to each entity, we may concentrate on the variation that occurs inside each entity. The expression can be simplified as follows:

$$Y_{it} - \bar{Y}_i = \beta_1 (X_{1it} - \bar{X}_{1i}) + \beta_2 (X_{2it} - \bar{X}_{2i}) + \dots + \beta_k (X_{kit} - \bar{X}_{ki}) + (u_{it} - \bar{u}_i)$$

This transformation eliminates any prejudice caused by time-invariant factors U_{it} that are associated with X_{it} . The FEM (Fixed Effects Model) posits that the entity-specific effects α_i are linked with the explanatory variables X_{it} . As a result, it produces estimates of the coefficients β that are both consistent and unbiased. It is vital to make valid inferences. The expression $E[\alpha_i | X_{it}] \neq 0$ indicates that the conditional expectation of α_i given X_{it} is not equal to zero. On the other hand, the Random Effects Model (REM) does not assume any relationship between the entity-specific effects and the regressors; hence, it can result in inaccurate estimates.

The FEM reduces the possibility of omitted variable bias by removing the time-invariant properties, resulting in more reliable regression findings. As, $\text{correl}(X_{it}, U_{it}) \neq 0$ so correlation between X_{it} and U_{it} is not equal to zero. The fixed effects model incorporates the relationship between the time-invariant portion of the error term (U_{it}) and the regressors (X_{it}).

The fixed effects model is an efficient method for analyzing panel data because it enables the discovery of the relationship between variables that change over time and the dependent variable, while also accounting for unobserved effects that are distinctive to each individual.

4.4.3. Two-Stage Least Squares (2SLS) Method

The key independent variable for the study is the degree of centralization variable which may be endogenous. Hence, it would violate the basic assumption of econometric analysis, ensuring that the explanatory variables in a regression model are exogenous (not correlated with the error term) for obtaining unbiased and consistent estimates. Centralization may be influenced by unobserved variables and create omitted variables bias. For example, factors such as the quality of governance, macroeconomic variables, political stability, or certain economic policies may have an impact on centralization. There will be a link between centralization and the error term if these factors are not included in the model since the error term will capture their impacts. The observed variable (Cen_{it}) will contain measurement error if centralization is not measured precisely, which will lead to a correlation with the error term. There may even be a reciprocal relationship between centralization and the investment and well-being indicators due to reverse causality. For instance, significant disparities in income could lead to changes in policy that influence the extent of centralization. These biases lead to inconsistency with presence of endogeneity that does not converge to the true parameter values. So, 2SLS is necessary to get unbiased results.

In Stage (1), the endogenous variable (Cen_{it}) is regressed on the instrumental variable (IV) and other exogenous variables. The IV is correlated with the endogenous explanatory variable but uncorrelated with the error term. The predicted values (fitted values) of the endogenous variable of centralization is found by following this method.

$$Cen_{it} = \alpha + \beta. Instruments + \epsilon \quad \text{Stage (1)}$$

In Stage (2), I have used the fitted values obtained from the first stage as the independent variable in the second stage regression. In the stage (2) regression, the dependent variable is regressed on the fitted values of the endogenous variable (Cen_{it}) and other exogenous variables.

$$Dependent Variable = \gamma + \delta. \widehat{Cen} + \theta. Exogenous Variables + \eta \quad \text{Stage (2)}$$

The 2SLS technique entails the utilization of instrumental variables (IV) to substitute endogenous regressors with their estimated values derived from the initial stage regression. The utilization of 2SLS is necessary in this study due to its capacity to tackle endogeneity issues, so guaranteeing that the estimates obtained from the regression model are both consistent and dependable, enhancing the credibility of the study.

Chapter 5: Distribution and Trend Analysis

From the previous chapter, the dataset analysis and strategies are discussed thoroughly. In this chapter, the distribution of centralization of power has been analyzed along with its trend over time. In the first section, the distribution of degrees of concentration in recent years is portrayed. Additionally, for the second section, the centralization of power across two major continents (Europe, Asia) in three different time periods (1960-1989, 1990-2009, and 2010-2022) is illustrated. In the ending section of this chapter, the trend of degree of centralization in 31 countries is depicted over a long time period (1960-2022).

5.1. Modern Time Distribution of Centralization

In Figure 4, the mean degree of centralization is taken for each country from 2010-2022 to understand the current state of centralization of power. The bar chart displays the mean values of the centralization variable across various countries from 2010 to 2022. The Y-axis represents the mean of the centralization variable, while the X-axis lists different countries. The chart reveals notable disparities in the levels of centralization among these countries, indicating that centralization is not uniformly distributed.

High centralization nations are inclined to concentrate a greater amount of authority and resources at the national level, which may lead to the implementation of national programs at a quicker pace and the establishment of more standardized national policies. Conversely, this might also result in a diminished capacity to adjust to local circumstances and requirements. Some examples of highly centralized countries in modern times are Bangladesh, Hungary and Malta, among others. Bangladesh demonstrates a significant degree of centralization, with a mean value approaching 0.8. This signifies a notable consolidation of decision-making power and resources at the central level. Hungary also exhibits a significant level of centralization, with a mean score of approximately 0.7, signifying a strong concentration of power in governance and administration.

Most of the countries show moderate levels of centralization. These countries display moderate degrees of centralization, with mean centralization values often ranging between 0.4 and 0.6. This reflects a balanced approach where some decision-making authority is kept centrally, while other authorities may be decentralized. Austria, Croatia, Germany, Italy, Luxembourg, Poland and the United Kingdom are notable in this section. Similarly, India, Ireland, Slovenia, Spain, Sweden, among others also show a similar pattern of centralization through party dominance.

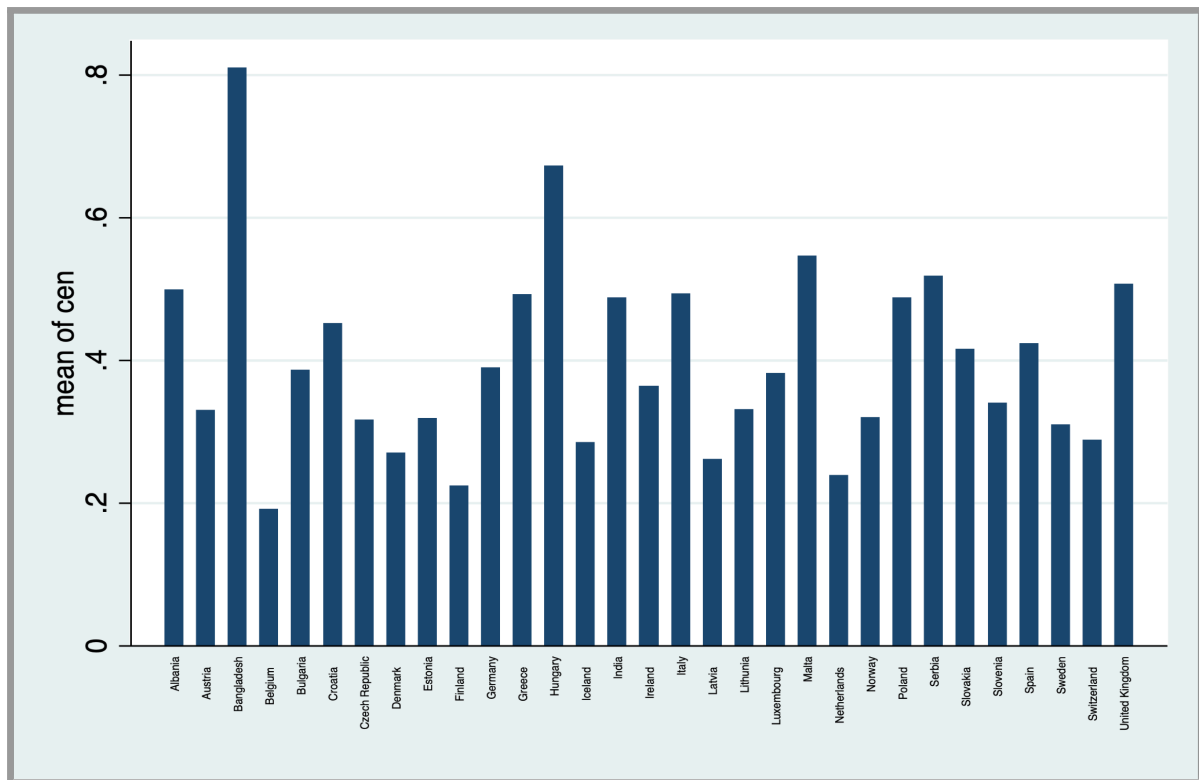


Figure 4. Mean of degree of centralization by country (2010-2022)

According to Figure 4, low levels of centralized countries of the recent world are Belgium, Finland, Denmark, Estonia, Latvia, Netherlands, etc. These countries exhibit mean centralization values that are relatively low, typically falling below 0.4. This indicates a greater level of decentralization, wherein local or regional administrations possess substantial authority and independence. Typically, decentralization involves the dispersion of power and resources to a larger extent, which enables increased independence at the local level and customized approaches to address regional problems. This can improve the ability to respond quickly and creatively at the local level, but it may also result in discrepancies and difficulties in coordinating efforts nationwide.

5.2. Distribution of Centralization across Continents during different Time Periods

In Figure 5, the mean degree of centralization is taken for two continents- Europe and Asia from 1960-2022 time period to understand the pattern changes of centralization of power region-wise and period-wise. The bar chart illustrates the average values of the centralization variable for Europe and Asia throughout three specific time periods: 1960-1989, 1990-2009, and 2010-2022. The Y-axis indicates the average value of the centralization variable, while

the X-axis displays the areas and time periods. This graph illustrates the fluctuations and patterns of centralization in these two regions throughout the course of time.

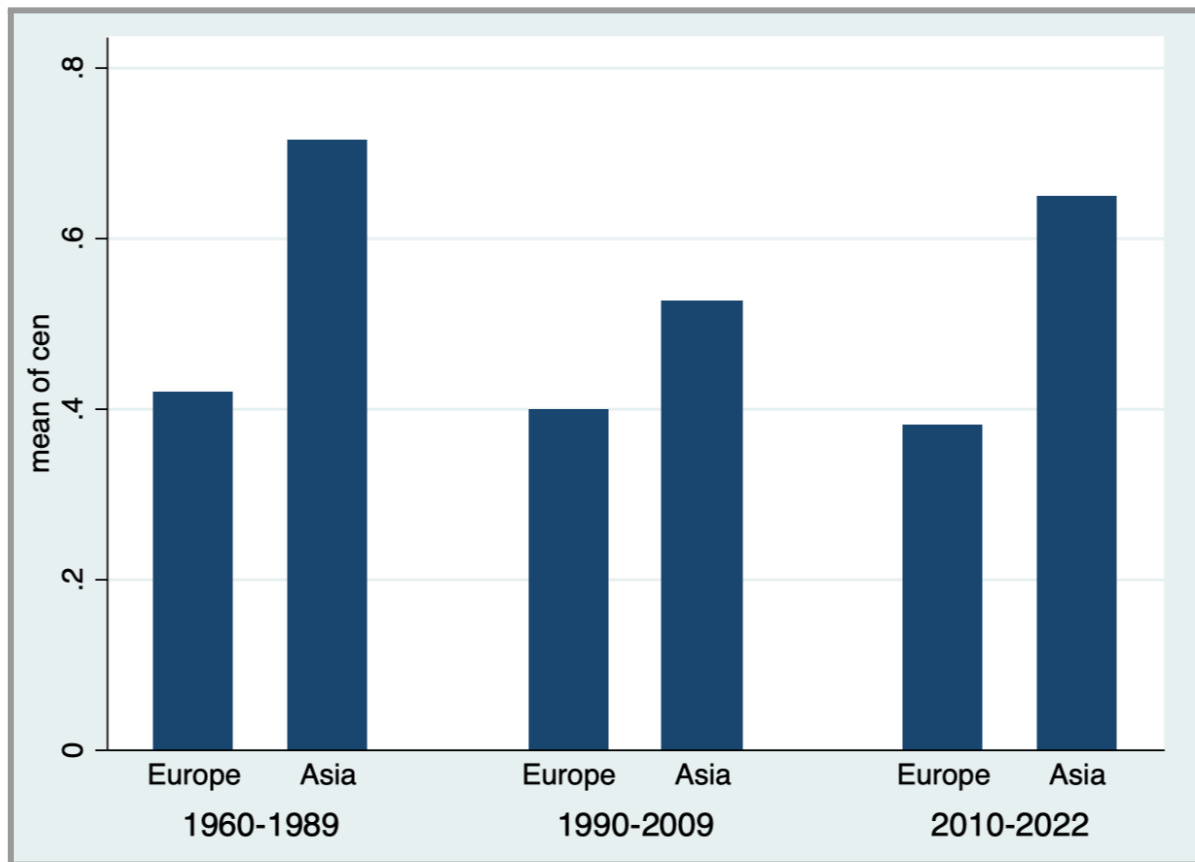


Figure 5. Mean of Degree of Centralization in Europe and Asia in different time periods (1960-2022)

Asia has significant diversity in centralization over the three time periods. The level of centralization began at a significantly high level (mean centralization close to 0.8) during the period of 1960-1989. It then decreased to a moderate level (mean centralization around 0.5) in the period of 1990-2009. Subsequently, it increased once again to a higher level (mean centralization approximately 0.65) in the period of 2010-2022. This suggests that there are changes with adaptable systems of government in Asian nations, potentially influenced by reforms in politics and economics. The significantly high initial centralization observed during the period of 1960-1989 can be attributed to the presence of robust central governments and a limited number of decentralized entities. The substantial decline observed between 1990 and 2009 could be attributed to political and economic reforms that were implemented with the goal of decentralization. The rise observed between 2010 and 2022 indicates a shift towards centralization, potentially influenced by policies promoting centralization or shifts in the political environment.

Europe indicates a consistent pattern of centralization, with average centralization values of approximately 0.43 for the period of 1960-1989. These values slightly decreased to 0.38 in the period of 1990-2009, and then experienced a minor decrease to 0.36 in the period of 2010-2022. This indicates a stable and rather centralized system of control with little changes throughout time. The relatively stable pattern with marginal declines and inclines suggests a persistent approach to governance with minor modifications in levels of centralization. The modest decline observed between 1990 and 2009 could potentially be linked to the implementation of EU integration and decentralization policies. Conversely, the slight upturn witnessed between 2010 and 2022 may be indicative of efforts made in response to global economic and political challenges.

While Asia experienced significant shifts in centralization, Europe maintained a relatively constant trend with slight fluctuations. This highlights the differing governance dynamics and policy responses between the two regions over the studied periods.

5.3. Trend of Centralization across Countries (1960-2022)

In Figure 6, the trend analysis of centralization of power across various countries from 1960 to 2022 depicts diverse patterns. The patterns can be divided into four major categories. Declining, constant, rising and high variation over time in countries.

Some countries show clear movements towards decentralization with declining centralization value, reflecting political reforms and structural changes in governance. Belgium, Germany, Sweden and Spain are the major ones in this category. Belgium's decline in centralization can be ascribed to particularly in acknowledgment of the cultural and linguistic heterogeneity prevalent throughout the nation but Germany's declining trend reflects the federal structure of Germany, where significant powers are devolved to the Länder (states). The reunification of East and West Germany in 1990 might have also influenced this trend, necessitating a balance between central and regional governance. Sweden places a significant focus on local governance and community involvement in decision-making processes, which promotes a decentralized administrative system with declining trend of centralization. Similarly, Spain's noticeable decline in centralization from the late 1970s onwards is particular for its 1978 constitution as it ensured self-governance powers of autonomous communities.

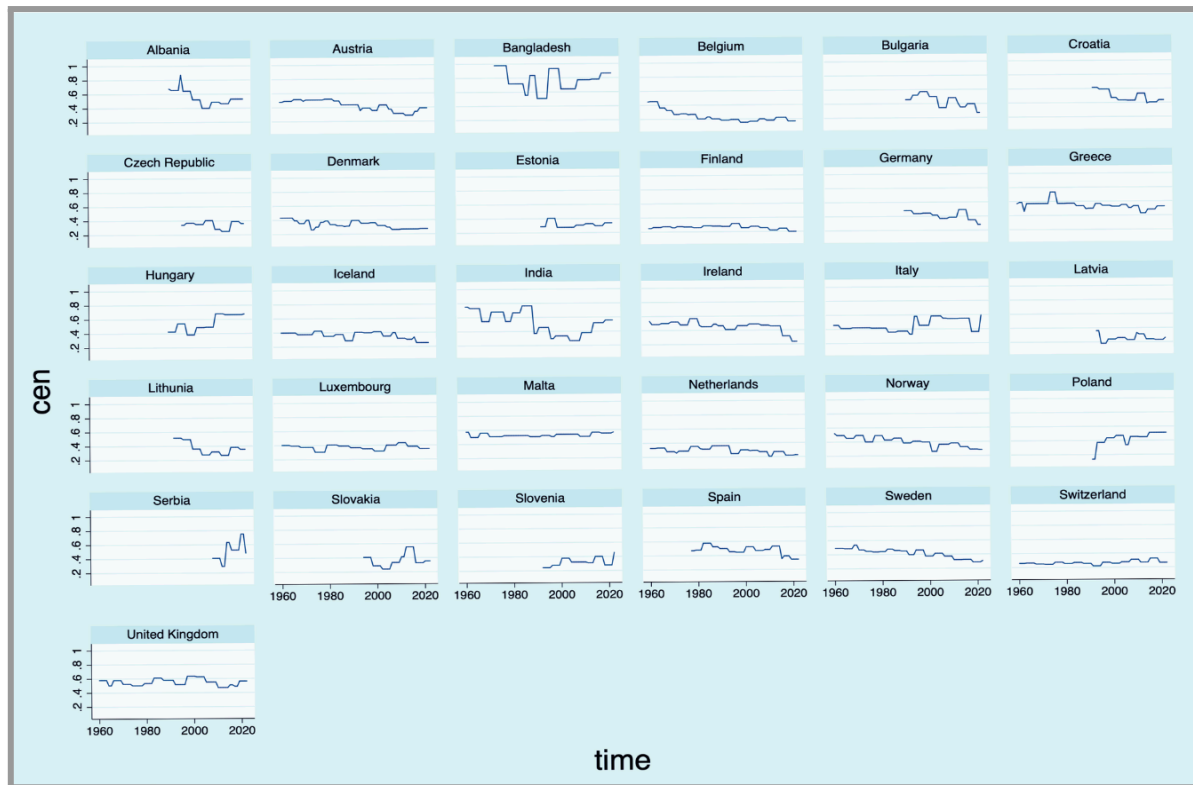


Figure 6. Trend of degree of centralization by country (1960-2022)

In Figure 6, countries such as Malta, Norway, Netherlands and Luxembourg retain constant levels of centralization because of their efficient balanced administration. Malta and Luxembourg have small size and population which allowed them to efficiently manage their central power structure without significant pressure for decentralization. Norway's stable constant trend is due to its strong welfare state and structured administrative system. Netherlands and Norway, both of them reflect an example of balanced approach to centralization of power without shifts towards either extreme of central authority and local autonomy.

Slovenia, Poland, Hungary etc., are seeing a growing trend towards centralization, which is generally associated with political changes and changing initiatives in national governance. Slovenia's rise in centralization can be attributed to Slovenia's shift from being a socialist republic inside Yugoslavia to becoming an independent country from the 1990s onwards. The early years of independence necessitated robust central authority to build national policies and governance frameworks. Unlike Slovenia, Poland's growing interest may be due to transition from a centrally planned economy to a market-oriented one with European Union (EU) policies and regulations.

Whereas most of the countries can be categorized within the three trends above, some countries can not be categorized with trend patterns as they have high variations over time. Countries such as Bangladesh, India and Serbia exhibit notable variations, which can be

attributed to factors such as political instability, economic reforms, and complex federal systems. Bangladesh exhibits substantial periodic variation in centralization, characterized by notable variations. The variations could be indicative of political instability, frequent shifts in government, and diverse approaches to decentralization and centralization policies. This unstable pattern could be influenced by economic reforms, administrative modifications, and political upheavals. Similarly, India has a complicated federal system, characterized by the dynamic distribution of authority between the national and state governments. This dynamic pattern is influenced by political changes, economic reforms, and regional calls for autonomy. Serbia's fluctuation in centralization value correlates its political history with Yugoslavia, wars and political restructuring over the years.

The variation among different countries trend analysis delves into the analysis of evolution of changing governance structures and centralization through dominant parties. The pattern changes are responses to political, economic, and social changes over time.

In the **Appendix** section (Chapter 10), Table 13 displays the average of centralization for different nations in Europe and Asia throughout various time intervals, spanning from 1960 to 2022. It offers a comparison of the level of political centralization in each country. Bangladesh features the highest degree of centralization, as indicated by its average score of 0.76 which suggests a pronounced degree of centralization, characterized by a substantial consolidation of power and decision-making control at the national level. Whereas Belgium has the lowest level of centralization, as indicated by its average score of 0.23. This indicates a governance structure that is highly decentralized, meaning that regional or local administrations are given a lot of power and independence.

Furthermore, Table 14 presents the average values of investment indicators, specifically the logarithms of Gross Capital Formation, Gross Savings, and Gross National Expenditure, across multiple European and Asian countries across various time spans, spanning from 1960 to 2022. European countries demonstrate their robust economic performance through significant capital investments and higher levels of public expenditure than Asian countries. Followingly, Table 15 provides a comprehensive summary of well-being metrics for different nations in Europe and Asia. It includes average values for the Gini Index, which measures income inequality, the income share held by the top 10% of earners, the proportion of persons living below 50% of the median income, and the under-5 mortality rates. The data covers a range of time periods from 1960 to 2022 as well. Bulgaria (37.49) and Serbia (37.3) are in Europe and they have the highest Gini Indices, which suggest a notable level of income inequality. However, in Asian countries, the mortality under-5 rate is extremely high, indicating severe child health challenges.

Chapter 6: Impact of Centralization through Party Dominance on Investment Indicators

In this chapter, the relationship between centralization of power and investment indicators are analyzed to understand the economic performance, productivity potential of a country. The gross capital formation is taken as the proxy variable of investment indicators. In the first section, the summary statistics and correlation analysis of investment indicators along with degree of centralization is given in detail. Later on, econometric model specification is done using the variables I have mentioned in the previous chapters. Followingly, the regression results of the models are presented after specifying the models. The findings are interpreted to see if research question (a) discussed previously can be answered, maintaining the appropriate strategies of result analysis.

6.1. Summary Statistics

The summary statistics explores the key variables from the dataset, presents the characteristics of the dataset and assess the validity of the data for investment indicators with degree of centralization.

Table 5. Summary statistics of degree of centralization and investment indicators

Variables	Observations	Mean	Std. Dev.	Min	Max
Degree of Centralization	1491	0.4184	0.1382	0.135	0.978
Degree of Centralization (Predicted)	1453	0.4184	0.1187	0.203	0.802
Log of Gross Capital Formation	1351	23.8425	51.8299	17.4234	27.6898
Log of Gross Savings	1079	24.0451	1.9086	17.8536	27.9081
Log of Gross National Expenditure	1351	25.2819	1.8047	19.5813	29.0291

The summary statistics in Table 5 shows that the degree of centralization is on average 0.42 or 42%. This variable ranges in between 0.135 to 0.978 or 1% to 99%. The paper finds out that the predicted degree of centralization is nearer to the actual one with the same mean.

However, minimum and maximum values are slightly narrower, ranging to 0.20 and 0.80 respectively. The standard deviation is lower in the predicted one, indicating less variability than the actual degree.

In Table 5, the logarithm of Gross Capital Formation, Gross National Expenditure, Gross Savings shows a substantial scale of variability due to log-transformed values. The mean value is 23.84 in the Log of Gross Capital Formation whereas the Log of Gross Savings is 24.04 on average. The mean of 25.28 is found in terms of Log of Gross National Expenditure, but it has low variability with 1.80 standard deviation.

6.2. Correlation Analysis

This section focuses on analyzing the correlation matrix to explore the bivariate correlations between key variables of investment indicators with degree of centralization. The correlation matrix offers valuable insights into the linear associations among the variables utilized in this study.

In Table 6, investment indicators were considered with the degree of centralization. The variables considered are the logarithm of gross capital formation, degree of centralization, predicted degree of centralization, logarithm of gross savings, and logarithm of gross national expenditure. In terms of key independent variable Degree of Centralization, the correlation coefficient with Log of Gross Capital Formation is -0.022, indicating a negligible and negative linear relationship. This indicates that changes in the Degree of Centralization have no substantial effect on the Log of Gross Capital Formation. The predicted centralization also shows the same phenomenon. However, since Gross Savings and Gross National Expenditure are explanatory variables of Gross Capital Formation; hence, their logarithmic form seems to have strong positive correlation of 0.9, indicating that these variables move together.

Table 6. Correlation Matrix of the variables

Variables	Log of Gross Capital Formation	Degree of Centralization	Degree of Centralization (Predicted)	Log of Gross Savings	Log of Gross National Expenditure
Log of Gross Capital Formation	1.000				
Degree of Centralization	-0.022	1.000			
Degree of Centralization	0.015	0.859	1.000		

(Predicted)

Log of Gross Savings	0.990	-0.044	-0.016	1.000	
Log of Gross National Expenditure	0.9909	-0.005	0.037	0.976	1.000

6.3. Model Specification

This study explores the well-established relationship between gross capital formation which is one of the key indicators of investment and centralization of power through party dominance. In the conceptual framework section, the degree of centralization has been already quantified with the ratio of government party seats to the total number of seats in parliamentary democracy. This study follows the merged dataset using WDI dataset of World Bank and Election Commission websites to run the regression specification of the form.

$$\ln_GCF_{it} = \alpha_i + \beta_1 Cen_{it} + \epsilon_{it} \quad (1)$$

Model (1) is a simplified regression specification that covers the effect of centralization on gross capital formation. Here, i indexes for country and t denotes time. The dependent variable $\ln_GCF_{it}$ denotes the gross capital formation of a country i across time t . To measure the effect of centralization, I use the quantified Cen_{it} which represents party dominance in power concentration for the country i across time t . α_i accounts for the entity-specific intercept, capturing unobserved heterogeneity whereas ϵ_{it} is an error term that includes all the unobservable factors.

$$\ln_GCF_{it} = \alpha_i + \beta_1 Cen_{it} + \beta_2 \ln_GS_{it} + \beta_3 \ln_GNExp_{it} + \epsilon_{it} \quad (2)$$

Model (2) expands upon the fundamental relationship by incorporating supplementary economic factors that are anticipated to influence Gross Capital Formation, therefore providing a more comprehensive analysis. Here, along with the key variables of Model (1), logarithmic forms of $\ln_GS_{it}$ and $\ln_GNExp_{it}$ are used. The $\ln_GS_{it}$ presents the Gross Savings for county i across time t . $\ln_GNExp_{it}$ shows the Gross National Expenditure for

county i across time t . $\beta_1, \beta_2, \beta_3$ represent the changes in the gross capital formation due to the independent variables.

However, in Model (1) and Model (2), the degree of centralization (Cen_{it}) could be endogenous, leading to biased estimates. It means Cen might be correlated with the error term ϵ_{it} or $\{Cov(Cen, GNE_{it}) \neq 0\}$. Endogeneity occurs when an explanatory variable is associated with the error term (ϵ_{it}), resulting in biased and inconsistent results. In these specific circumstances, the level of centralization (Cen_{it}) may be influenced by various factors, such as Simultaneity Bias, Omitted Variable Bias and Measurement Error. The Centralization and Gross Capital Formation (GCF) may have a reciprocal influence on each other, creating simultaneity bias. For instance, whereas centralization can impact the accumulation of capital, regions that have a greater accumulation of capital may also choose to use distinct centralization strategies. Both GCF and centralization may be impacted by unobserved factors as political stability has the potential to affect centralization policies and economic outcomes. However, if it is not accounted for in the model, it may introduce bias to the estimates commonly known as omitted variable bias. On another note, the presence of unknown errors in measuring centralization may result in a correlation with the error term, which can lead to estimates that are measurement error biased.

In order to address this potential endogeneity, we employ an instrumental variable (IV) approach to predict Centralization or Cen_{it} variable. This entails forecasting the level of centralization by utilizing factors that are associated with centralization but not directly linked to the error term of the primary regression equation. In other words, this approach helps isolate the exogenous variation in centralization that is not correlated with the error term in the main equation.

$$\hat{Cen}_{it} = \lambda_1 + \lambda_2 \ln_GNE_{it} + CountryDum_{it}$$

The gross national expenditure is expected to have a correlation with centralization due to the fact that government expenditure levels have the ability to impact and reflect the extent of central control. However, $\ln_GNE_{it}$ is presumed to be exogenous with respect to the error term in the primary regression. The $CountryDum_{it}$ is the country dummy variables that account for country-specific factors that have an impact on Cen_{it} . They account for unobserved differences in characteristics at the country level, ensuring that the estimated centralization reflects variances caused by specific policies and institutional elements unique to each country. Thus the predicted centralization enhances the robustness of the regression model which is not driven by endogenous factors.

$$\ln_GCF_{it} = \alpha_i + \beta_1 \hat{Cen}_{it} + \beta_2 \ln_GS_{it} + \epsilon_{it} \quad (3)$$

Model (3) mitigates the issue of potential endogeneity between the level of centralization and the error term by incorporating the estimated value of centralization. This methodology facilitates the acquisition of impartial and consistent estimations on the influence of centralization on Gross Capital Formation.

6.4. Findings and Discussion

In this section, the regression results of the previously mentioned model are presented. The findings are interpreted to see if the null and alternative hypotheses discussed previously can be accepted or rejected. Moreover, the existing literature is analyzed to assess the findings critically.

6.4.1. Regression Results

In Table 7, I measured the impact of degree of centralization on gross capital formation which is a proxy variable of investment. Column (1) represents the findings and shows a baseline regression according to Model (1). The Model (1) provides a test for H1 in a simplified way. The results validate the common finding that as centralization increases, gross capital formation decreases significantly. They are also statistically significant at 5% level of significance. The gross capital formation decreases by 4.13% for 0.01 unit increase in the degree of centralization.

Table 7. Regression results of the models for investment indicators

Log of Gross Capital Formation	Model-1	Model-2	Model-3
Degree of Centralization	- 4.130*** (0.337)	- 0.148*** (0.065)	
Degree of Centralization (Predicted)			- 47.718*** (0.519)
Log of Gross Savings		0.296*** (0.019)	
Log of Gross National Expenditure		0.711*** (0.022)	
Constant	25.569*** (0.143)	-1.136*** (0.185)	41.671*** (0.445)

N	1351	1078	1318
R-squared	0.102	0.961	0.946
(within, between, overall)	0.002	0.996	0.003
	0.016	0.991	0.017

Column (2) is the extended form of the previous result about the basic relationship by including two explanatory variables that affect gross capital formation. Gross savings and gross national expenditures are positively related to gross capital formation with significant results. For instance, for 1% increase in gross national expenditure, gross capital formation increases by 0.296%. The degree centralization variable changes significantly for adding the control variables in Model (2). However, the countries with higher centralization tend to face lower investment outcomes.

To avoid the endogeneity issues, I have predicted the centralization with gross national expenditure and country dummy variables after Model (2). Model (3) gives robust regression results with the predicted degree of centralization. The regression results for Model (3) is in Column (3). The results indicate a strong negative relationship between the predicted degree of centralization and gross capital formation. The coefficient for predicted degree of centralization is -47.718 which suggests that a 0.01 unit increase in the predicted degree of centralization, the gross capital formation decreases by 47.718%. This large magnitude of the coefficient means that centralization through party dominance has a considerable adverse effect on capital formation when taking into account external variation. The pronounced adverse impact suggests that more centralization results in inefficiencies or barriers to the accumulation of capital and investment.

The coefficient for gross savings is 0.0871, indicating a strong positive association between gross savings and gross capital formation. Precisely, a 1% increase in gross savings is associated with a 0.087% increase in gross capital formation. This positive relationship highlights the crucial role of savings in funding investments and promoting capital accumulation.

The constant term in the equation represents the logarithm of Gross Capital Formation when all independent variables have a value of zero. Although it lacks a precise economic explanation, its relevance suggests that the model accurately matches the data. The R-squared within indicates that Model (3) accounts for 94.6% of the variability in gross capital formation across different organizations and over time. The Model (3) demonstrates a significant amount of explanatory capability in accurately representing the differences within each item. However, the low R-squared between values is likely due to the fixed effects model primarily considering variations within each item. The overall R-squared is 1.7% of the total variation in Gross Capital Formation is explained by the Model (3). This is low but

the high within R-squared indicates that the Model (3) is effective in explaining variations over time within entities as the fixed effects model captures within-entity variation effectively.

6.4.2. Discussion

As the theoretical model (Section 3.2) portrays, when it comes to centralization through party dominance (as conceptualized in Section 3.1), macro-level investment indicators get affected in a society. In line with the model, it has been seen in studies that when the dominant ruling party tries to centralize power, the economic performance deteriorates as the investments get affected (Boin et al., 2020; Acemoglu and Robinson, 2019; Politkovskaya, 2015; Esen and Gumuscu, 2016). Based on this, the study finds that political centralization has a statistically significant negative relation with investment indicators (gross capital formation). Column (1) in Table 7 provides the tests for H1 where the results indicate that on average, higher centralization degree through party dominance decreases gross capital formation. The Column (2) and Column (3) show similar signs and result in staying consistent with the argument even after adding explanatory variables in the models. However, it is also true that the centralization variable varies across countries over time. Table 8 presents the visual representation of the summary of this chapter and its comparison with relevant studies.

Table 8. Summary of findings, discussion and comparison of results

Clusters of Centralization	Causation from Clusters	Regression Results	Comparison
Positive Cluster (Boin et al., 2020; Levitsky and Ziblatt, 2018; Lee, 2000)	Political centralization synchronizes decisions with coordination that increases investments and economic potential.	Higher degree of power concentration leads to lower investment or gross capital formation.	The findings of the paper are in line with the negative cluster. The paper includes the influence of party dominance as a key factor of centralization.
Negative Cluster (Boin et al., 2020; Acemoglu and Robinson, 2019; Politkovskaya, 2015; Esen and Gumuscu, 2016)	Political centralization hinders investment potentials by corruption, rent-seeking by party elites.		Even though the clusters only include specific case studies, the study includes cross-countries with time variations.

Chapter 7: Impact of Centralization through Party Dominance on Well-Being Indicators

In this chapter, the relationship between centralization of power and well-being indicators are analyzed to understand the wealth distribution and opportunities of a country. The inequality measured by gini coefficient is taken as the proxy variable of well-being indicators. In the first section, the summary statistics and correlation analysis of well-being indicators along with degree of centralization is given in detail. Later on, econometric model specification is done using the variables I have mentioned in the previous chapter. Followingly, the regression results of the models are presented after specifying the models. The findings are interpreted to see if research question (b) discussed previously can be answered, maintaining the appropriate strategies of result analysis.

7.1. Summary Statistics

The summary statistics explores the key variables from the dataset, presents the characteristics of the dataset and assess the validity of the data for well-being indicators with degree of centralization.

Table 9. Summary statistics of degree of centralization and well being indicators

Variables	Observations	Mean	Std. Dev.	Min	Max
Degree of Centralization	1491	0.4184	0.1382	0.135	0.978
Degree of Centralization (Predicted)	1453	0.4184	0.1187	0.203	0.802
Gini Index	672	30.8535	3.7384	22.2	41.3
Income share held by highest 10%	672	24.2991	2.3499	18.3	32.6
Proportion of people living below 50 percent of median income (%)	670	10.1113	3.3025	3.2	21.6
Mortality rate, under-5 (per 1,000 births)	1460	19.2948	36.3038	2	242.8

The summary statistics of the degree of centralization is already discussed in the previous chapter. In Table 9, in terms of well-being indicators, the Gini Index ranges from 22.2 to 41.3 with a mean of 30.85. The total income earned by the highest 10% of earners range from 18.3% to 32.6%, proving disparity in income concentration. On average, the top 10% earn around 24.3% of total income and 10.1% of the population lives below the threshold of 50% of median income. Under-5 mortality rate has a mean of 19.29 but 36.30 standard deviation is so high due some nations experiencing very high mortality rates.

7.2. Correlation Analysis

This section focuses on analyzing the correlation matrix to explore the bivariate correlations between key variables of well-being indicators with degree of centralization. The correlation matrix offers valuable insights into the linear associations among the variables utilized in this study.

Table 10 reveals well-being indicators correlation with the degree of centralization. The correlation matrix provides insights of linear relation between political centralization and socioeconomic variables of well-being. The variables included are the Gini coefficient, Degree of Centralization, predicted Degree of Centralization, Income Share held by the Highest 10%, Proportion of People Living Below 50 Percent of Median Income, and Mortality Rate (under-5 per 1,000 births). The key independent variables for the well-being section are Gini Index to picturize inequality and Degree of Centralization. The correlation coefficient is 0.309, displaying a weak positive linear relationship. This mild association between these variables indicates higher centralization corresponds to a higher inequality. Since, the explanatory variables Income Share held by the Highest 10%, Proportion of People Living Below 50 Percent of Median Income, and Mortality Rate (under-5 per 1,000 births) explains well-being of a country so they are strongly correlated to Gini Index. These variables also have a weak positive correlation with centralization, which explains with centralization degree through party dominance the well-being gets reduced.

Table 10. Correlation Matrix of the variables

Variables	Gini	Degree of Centraliza- -tion	Degree of Centraliza- -tion (Predicted)	Income share held by highest 10%	Proportion of people living below 50 percent of median income (%)	Mortality rate, under-5 (per 1,000 births)
Gini	1.000					

Degree of Centralization	0.309	1.000				
Degree of Centralization (Predicted)	0.389	0.823	1.000			
Income share held by highest 10%	0.942	0.250	0.325	1.000		
Proportion of people living below 50 percent of median income (%)	0.802	0.343	0.393	0.585	1.000	
Mortality rate, under-5 (per 1,000 births)	0.216	0.321	0.354	0.352	-0.112	1.000

7.3. Model Specification

This study explores the well-established relationship between the gini index which is one of the key indicators of inequality or well-being and centralization of power through party dominance. In the conceptual framework section, the degree of centralization has been already quantified with the ratio of government party seats to the total number of seats in parliamentary democracy. This study follows the merged dataset using WDI dataset of World Bank and Election Commission websites to run the regression specification of the form,

$$Gini_{it} = \alpha_i + \beta_1 Cen_{it} + \epsilon_{it} \quad (1)$$

Model (1) is a simplified regression specification that covers the effect of centralization on gini index. Here, i indexes for country and t denotes time. The dependent variable $Gini_{it}$ denotes the inequality of country i across time t . To measure the effect of centralization, I use the quantified Cen_{it} which represents party dominance in political concentration for the country i across time t . α_i accounts for the entity-specific intercept, capturing unobserved heterogeneity whereas ϵ_{it} is an error term that includes all the unobservable factors.

$$Gini_{it} = \alpha_i + \beta_1 Cen_{it} + \beta_2 IncTop10perc_{it} + \beta_3 Livbelow50\%MidInc_{it} + \beta_4 Mortality5rate_{it} + \epsilon_{it} \quad (2)$$

Model (2) expands upon the fundamental relationship by incorporating supplementary economic factors that are anticipated to influence Gini Index, therefore providing a more comprehensive analysis of inequality and well-being. Here, along with the key variables of Model (1), $IncTop10perc_{it}$, $Livbelow50\%MidInc_{it}$, $Mortality5rate_{it}$ are used. The $IncTop10perc_{it}$ presents the proportion of total income held by the top 10% of earners for county i across time t . $Livbelow50\%MidInc_{it}$ shows the percentage of the population living below half the median income for county i across time t and $Mortality5rate_{it}$ is the mortality rate of children under five years old, representing public health conditions for county i across time t . $\beta_1, \beta_2, \beta_3, \beta_4$ represents the changes in the gini index or inequality condition due to the independent variables.

However, in Model (1) and Model (2), the degree of centralization Cen_{it} could be endogenous, leading to biased estimates. To avoid the endogeneity bias I have employed an instrumental variable (IV) approach to predict Centralization or Cen_{it} variable in the previous chapter. They account for unobserved differences in characteristics at the country level, ensuring that the estimated centralization reflects variances caused by specific policies and institutional elements unique to each country. Thus the predicted centralization variable enhances the robustness of the regression model which is not driven by endogenous factors.

$$Gini_{it} = \alpha_i + \beta_1 \hat{Cen}_{it} + \beta_2 IncTop10perc_{it} + \beta_3 Livbelow50\%MidInc_{it} + \beta_4 Mortality5rate_{it} + \epsilon_{it} \quad (3)$$

Model (3) mitigates the issue of potential endogeneity between the level of centralization and the error term by incorporating the estimated value of centralization. This methodology facilitates the acquisition of impartial and consistent estimations on the influence of centralization on Gini Index or inequality. By adding the explanatory variables, the model explains most of the factors dominating the well-being through inequality indicator.

7.4. Findings and Discussion

In this section, the regression results of the previously mentioned model are presented. The findings are interpreted to see if the null and alternative hypotheses discussed previously can be accepted or rejected. Moreover, the existing literature is analyzed to assess the findings critically.

7.4.1. Regression Results

In Table 11, I measured the impact of degree of centralization on the gini index which is a proxy variable of well-being. Column (1) represents the findings and shows a baseline regression according to Model (1). The Model (1) provides a test for H2 in a simplified way. The results validate the common finding that as centralization increases, inequality increases as well. The inequality increases by 5.05 units for 0.01 unit increase in the degree of centralization. However, the result is statistically insignificant at 5% level of significance even though it is significant at 10% significance level.

Table 11. Regression results of the models for well-being indicators

Gini Index	Model-1	Model-2	Model-3
Degree of Centralization	5.049 (2.931)	2.644*** (0.569)	
Degree of Centralization (Predicted)			7.335*** (1.705)
Income share held by highest 10%		1.247*** (0.006)	1.034*** (0.011)
Proportion of people living below 50 percent of median income (%)		0.365*** (0.008)	0.407*** (0.009)
Mortality rate, under-5 (per 1,000 births)		-0.00017 (0.002)	-0.009*** (0.001)

Constant	26.888*** (1.246)	-4.123*** (0.275)	-1.244 (0.751)
N	1491	1491	669
R-squared	0.002	0.966	0.970
(within, between, overall)	0.003 0.005	0.975 0.969	0.945 0.953

Column (2) is the extended form of the previous result about the basic relationship by including three explanatory variables that affect inequality. Income shares held by the highest 10% population and Proportion of people living below half of the median income are positively related to inequality with significant results. For instance, 1% increase in the income share held by the top 10% increases the gini coefficient by 1.247. But the mortality rate under-5 has a very small and statistically insignificant effect on income inequality, referring that health outcomes do not have a strong direct impact on inequality in Model (2).

The degree centralization variable changes significantly for adding the control variables in Model (2). With the inclusion of additional variables, the degree of centralization shows a statistically significant positive impact on income inequality at 5% significance level. The countries with higher centralization tend to face higher inequality which lower well-being outcomes.

To avoid the endogeneity issues, I have predicted the centralization with gross national expenditure and country dummy variables in the previous chapter, and added the variable in Model (3). Model (3) gives robust regression results on well-being outcomes with the predicted degree of centralization. The regression results for Model (3) is in Column (3). The results indicate a strong positive relationship between the predicted degree of centralization and inequality. The coefficient for predicted centralization is 7.335 which suggests that a 0.01 unit increase in the predicted degree of centralization, the inequality or gini index increases by 7.335 units. This large magnitude of the coefficient means that centralization through party dominance has a considerable adverse effect on well-being when taking into account external variation. The pronounced adverse impact suggests that more centralization results in wealth accumulation by affluent elites while the rest of the population suffers.

The coefficient for Income shares held by the highest 10% is 1.034, indicating a strong positive association between Income shares held by the highest 10% and inequality. Precisely,

a 1% increase in the income share held by the top 10% is associated with a 1.034 unit increase in gini coefficient. This positive relationship highlights how the top few wealthy people of the population have a crucial role, creating inequality. Similarly, a higher proportion of people living in poverty is associated with increased inequality as the gini coefficient increases by 0.407 units with 1% increase in proportion of people living below half of the median income. However, the mortality rate under-5 shows a negative relation with inequality even though the value is very small. All the explanatory variables are significant in Model (3) at 5% significance level.

The constant term in the equation represents the gini coefficient when all independent variables have a value of zero. Although it lacks a precise economic explanation, its relevance suggests that the model accurately matches the data. The R-squared within indicates that Model (3) accounts for 97.0% of the variance in income inequality within countries over time is explained by the predicted centralization and other variables. The Model (3) demonstrates a significant amount of explanatory capability in accurately representing the differences within each item. The R-squared between values is 94.5% that indicates a good fit in the model as predicted centralization and other variables effectively capture between-country variations thoroughly. The overall R-squared is 95.3% of the total variation in income inequality is explained by the Model (3). This high value indicates that using predicted centralization still provides a robust overall explanation of income inequality in Model (3) even though it is slightly lower than Model (2).

7.4.2. Discussion

As the theoretical model (Section 3.2) portrays, when it comes to centralization through party dominance (as conceptualized in Section 3.1), macro-level well being indicators get affected in a society. In line with the model, it has been seen in studies that when the dominant ruling party tries to centralize power, the inequality increases as the state resources are accumulated by political allies to guarantee their ongoing support (Boin et al., 2020; Acemoglu and Robinson, 2019; Politzkovskaya, 2015; Esen and Gumuscu, 2016). Based on this, the study finds that political centralization has a statistically significant negative relation with well-being indicators (inequality rises). Column (1) in Table 11 provides the tests for H2 where the results indicate that on average, higher centralization degree through party dominance increases inequality. The Column (2) and Column (3) show similar signs and result in staying consistent with the argument even after adding explanatory variables in the models. However, it is also true that the centralization variable varies across countries over time. Table 12 presents the visual representation of the summary of this chapter and its comparison with relevant studies.

Table 12. Summary of findings, discussion and comparison of results

Clusters of Centralization	Causation from Clusters	Regression Results	Comparison
Positive Cluster (Boin et al., 2020; Levitsky and Ziblatt, 2018; Lee, 2000)	Political centralization enhances the government's ability to enforce uniform policies to reduce regional disparities and ensure equitable resource distribution.	Higher degree of power concentration leads to higher inequality or lower well-being indicators.	The findings of the paper are in line with the negative cluster. The paper includes the influence of party dominance as a key factor of centralization.
Negative Cluster (Boin et al., 2020; Acemoglu and Robinson, 2019; Politkovskaya, 2015; Esen and Gumuscu, 2016)	Political centralization leads to wealth accumulation by the group of people who are close to the ruling authority, increasing inequality and market distortions.		Even though the clusters only include specific case studies, the study includes cross-countries with time variations.

Chapter 8: Conclusion

This article provides evidence to support the claim that higher degree of centralization results in decreased level of capital formation with the decline of investment and growth potential. At the same time, it contends that centralization through party dominance has a negative effect on the well-being with the inequality rising over time. As previously discussed, when it comes to centralization of power through the dominant ruling party, powerful elites accumulate most of the resources and favor the party loyalists in economic policies. From this reasoning, it can be seen in multiple studies that political centralization is associated with negative economic outcomes in a country. In line with this, the findings of the study are consistent with the premise that centralization through party dominance affects both investment and well-being negatively. Based on a conceptual and theoretical model, the quantification of centralization with the ratio of governing party seats to the total number of seats, depicts the party dominance in political centralization. The findings suggest that, as the concentration degree with the ratio increases, the centralization of power also increases. This results with the newly made variable, suggesting increasing centralization can make the economy of a country stunned for a long period of time. This research is unique in that it uses panel data from 31 countries with parliamentary democracies over a longer period of time (1960-2022) to draw its conclusions. The broad range of data, thus, improves the findings' predictability.

The study's contribution to the field of literature can be broken down into two parts. To begin, it discovers that centralization of power can be quantified with the concept of party dominance as a key factor. There are a number of studies that concentrate on centralization based on political stability, voice and accountability, government effectiveness and different democracy indexes; very few studies investigate the concept of centralization through party dominance. Furthermore, the studies observe a relation between this new concept and economic outcome of different countries over a longer period of time. According to my findings, it has been discovered that with a higher degree of centralization demonstrates a lower level of investment or business progress. The second finding of the study indicates that a higher level of centralization has a negative effect on well-being, favoring resources to a few groups of people.

Reviewing the literature, it has been discovered that there are a great number of recent studies that concentrate on a few conditions that are crucial for rising economic performance with lower inequality and fair wealth distribution in a dominant party system. The beneficial effects of a centralized system with a dominant party can be found by the establishment of robust institutions, including an independent court, transparent financial systems, and an efficient bureaucracy, which ensure the equitable and effective implementation of economic policy ((Rodrik, 2007; Banerjee and Duflo, 2019). However, the notion that a dominant ruling party with higher centralization can result in long term economic development is something that has only been found in a few of the studies. Therefore, as a result of analyzing the influence of centralization of power through party dominance on investment and

well-being, the study comes to the conclusion that although there are a lot of factors that affect the economic outcomes, political centralization with a dominant party structure affects the economy of a country negatively. While analyzing the centralization through degree of power concentration, the findings show similar results in all the cases with negative impact on economic performance.

To bring development in terms of economic as well as social indicators, a balanced approach has to be taken instead of letting the dominant ruling party centralize the system of a country. Excessive consolidation of power can lead to corruption, inefficiency, and social inequality, despite the potential benefits of decisive policy-making and efficient resource allocation that centralization can bring. Hence, local autonomy with government's nationwide centralized standards, ensuring consistency and cohesion in areas such as financial regulation and citizens' protection. The balanced approach can aim at taking balanced economic policies with inclusive economic growth and the benefits of growth distributed across different regions and social groups. To implement such a strategy of combining the strengths of both centralization and decentralization, one must engage in meticulous planning, establish efficient governance, and demonstrate a steadfast dedication to ongoing enhancement and adjustment (Green et al., 2014 ; Kroeber, A. R., 2016).

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Appendix

Table 13. Average of Centralization Variables across countries

Region	Country	Time Period	Avg. Centralization
Europe	Albania	1991-2022	0.54
	Austria	1960-2022	0.42
	Belgium	1960-2022	0.23
	Bulgaria	1991-2022	0.44
	Croatia	1992-2022	0.48
	Czech Republic	1996-2022	0.34
	Denmark	1960-2022	0.33
	Estonia	1992-2022	0.31
	Finland	1960-2022	0.26
	Germany	1990-2022	0.41
	Greece	1960-2022	0.54
	Hungary	1990-2022	0.54
	Iceland	1960-2022	0.35
	Ireland	1960-2022	0.45
	Italy	1960-2022	0.45
	Latvia	1993-2022	0.25
	Lithuania	1992-2022	0.37
	Luxembourg	1960-2022	0.37
	Malta	1960-2022	0.52
	Netherlands	1960-2022	0.29
	Norway	1960-2022	0.40
	Poland	1991-2022	0.43
	Serbia	2008-2022	0.50
	Slovakia	1994-2022	0.36
	Slovenia	1992-2022	0.32
	Spain	1977-2022	0.47
	Sweden	1960-2022	0.41
	United Kingdom	1960-2022	0.55
Asia	India	1960-2022	0.52
	Bangladesh	1973-2022	0.76
Total			0.42

Table 14. Average of Investment Indicators across countries

Region	Country	Time Period	Avg. Log of Gross Capital Formation	Avg. Log of Gross Savings	Avg. Log of Gross National Expenditure
Europe	Albania	1991-2022	21.14	20.94	22.78
	Austria	1960-2022	24.10	25.00	25.41
	Belgium	1960-2022	24.22	25.25	25.62
	Bulgaria	1991-2022	22.48	22.40	24.16
	Croatia	1992-2022	22.80	22.77	24.48
	Czech Republic	1996-2022	24.50	24.41	25.71
	Denmark	1960-2022	23.73	23.96	25.19
	Estonia	1992-2022	22.06	21.88	23.33
	Finland	1960-2022	23.55	23.86	24.89
	Germany	1990-2022	27.17	27.31	28.64
	Greece	1960-2022	23.52	24.68	25.01
	Hungary	1990-2022	23.79	23.54	25.19
	Iceland	1960-2022	21.11	21.01	22.50
	Ireland	1960-2022	23.05	24.54	24.49
	Italy	1960-2022	25.68	25.67	27.04
	Latvia	1993-2022	22.13	21.94	23.62
	Lithuania	1992-2022	22.39	22.13	23.97
	Luxembourg	1960-2022	21.58	23.41	22.92
	Malta	1960-2022	20.06	20.03	21.47
	Netherlands	1960-2022	24.76	24.85	26.06
	Norway	1960-2022	24.06	24.24	25.22
	Poland	1991-2022	24.70	24.75	26.39
	Serbia	2008-2022	23.02	22.71	24.70
	Slovakia	1994-2022	23.49	23.36	24.87
	Slovenia	1992-2022	22.82	22.90	24.23
	Spain	1977-2022	25.71	25.62	27.18
	Sweden	1960-2022	24.46	24.44	25.79
	United Kingdom	1960-2022	25.66	25.51	27.39
Asia	India	1960-2022	25.15	25.46	26.57
	Bangladesh	1973-2022	23.06	23.44	24.73
Total			23.65	23.98	25.07

Table 15. Average of Well-Being Indicators across countries

Region	Country	Time Period	Avg. Gini Index	Avg. Income share held by highest 10%	Avg. Proportion of people living below 50 percent of median income (%)	Avg. Mortality rate, under-5 (per 1,000 births)
Europe	Albania	1991-2022	31.00	23.94	10	20.47
	Austria	1960-2022	30.17	23.64	9.75	14.18
	Belgium	1960-2022	27.83	22.49	8.79	12.65
	Bulgaria	1991-2022	37.49	28.18	14.59	13.20
	Croatia	1992-2022	31.02	23.25	13.10	6.92
	Czech Republic	1996-2022	26.12	22.27	6.24	4.19
	Denmark	1960-2022	26.66	22.28	6.13	9.79
	Estonia	1992-2022	32.49	24.81	10.51	7.8
	Finland	1960-2022	26.88	22.32	6.21	8.65
	Germany	1990-2022	30.16	23.91	8.81	5.08
	Greece	1960-2022	34.45	25.81	14.95	16.12
	Hungary	1990-2022	29.82	23.61	10.87	8.55
	Iceland	1960-2022	27.80	23.36	6.42	8.41
	Ireland	1960-2022	32.77	25.88	10.06	12.54
	Italy	1960-2022	33.86	25.47	13.64	15.57
	Latvia	1993-2022	35.66	27.10	13.31	10.40
	Lithuania	1992-2022	35.85	27.48	13.71	8.71
	Luxembourg	1960-2022	30.6	24.10	9.79	11.7
	Malta	1960-2022	29.36	23.30	9.82	15.37
	Netherlands	1960-2022	28.44	22.97	7.75	9.55
	Norway	1960-2022	27.03	22.20	6.81	9.15
	Poland	1991-2022	32.41	25.10	12.13	8.44
	Serbia	2008-2022	37.3	27.21	17.84	6.57
	Slovakia	1994-2022	25.86	20.81	9.5	8.07
	Slovenia	1992-2022	24.76	20.71	6.58	4.43
	Spain	1977-2022	34.63	25.65	14.72	7.32
	Sweden	1960-2022	27.14	21.47	8.28	7.67
	United Kingdom	1960-2022	32.53	25.53	10.32	11.76
Asia	India	1960-2022	33.84	28.05	6.63	131.25
	Bangladesh	1973-2022	30.66	25.83	5.99	115.15
Total			30.63	24.26	9.69	19.25